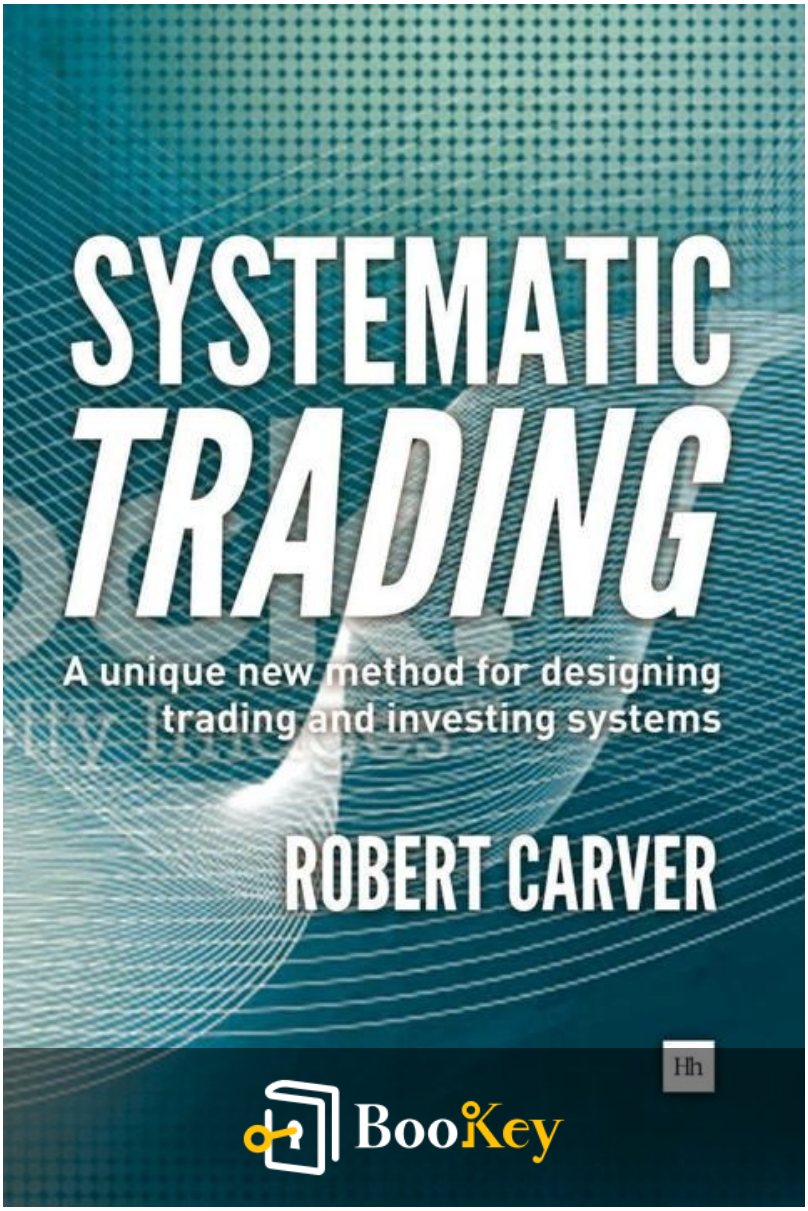
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Robert Carver



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Master Your Investment Decisions through Systematic Approach

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About the book

Systematic Trading by Robert Carver is an essential guide for anyone looking to enhance their trading and investing decisions through systematic approaches. Unlike typical books focused on a singular trading strategy, this comprehensive resource empowers readers to develop their own customized systems. Drawing on financial theory and Carver's extensive experience managing systematic hedge fund strategies, the book elucidates the rationale behind systematic trading while providing clear, actionable insights. Covering everything from strategy design to position sizing, it addresses key topics such as avoiding common pitfalls, ensuring effective diversification, and adapting strategies to various asset classes—including equities, bonds, forex, and commodities. With practical examples from multiple markets, this detailed guide offers a fresh perspective on system development, making it a vital tool for both novice and experienced investors looking to systematize their financial decision-making.

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About the author

Robert Carver is an independent systematic futures trader, investor, and consultant, renowned for his expertise in trading strategies. He is the author of "Systematic Trading: A Unique New Method for Designing Trading and Investing Systems" and "Smart Portfolios: A Practical Guide to Building and Maintaining Intelligent Investment Portfolios," both published by Harriman House. Until 2013, Robert played a pivotal role at AHL, a prominent systematic hedge fund within the Man Group, where he developed AHL's fundamental global macro strategy and managed a multi-billion dollar fixed income portfolio. His earlier experience includes serving as a research manager at the Centre for Economic Policy Research and trading exotic derivatives at Barclays Investment Bank. Robert holds a Bachelor's degree in Economics from the University of Manchester and a Master's degree in Economics from Birkbeck College, University of London. He actively trades and invests his own capital using the methodologies outlined in his books.

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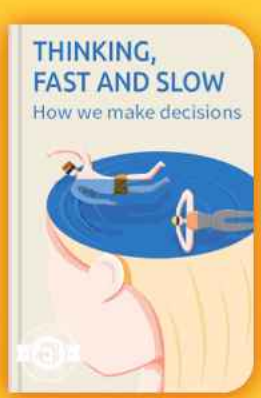
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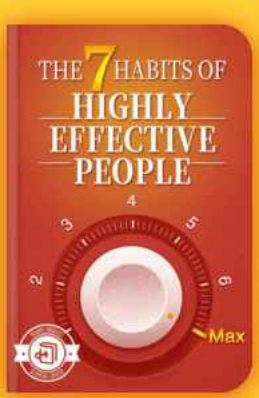
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Chapter 1 Summary : Systematic trading and investing



Section	Summary
Systematic Trading and Investing	Introduces systematic trading as a solution to emotional challenges in financial decision-making, emphasizing the need to systematize the decision process to reduce fear and greed.
Who Should Read This Book	Targets a diverse audience from amateur investors to market professionals, highlighting insights for both trading and investing, and addressing those skeptical about automated systems regarding position and risk management.
Three Examples of Systematic Traders and Investors	Asset Allocating Investor: Focuses on long-term fund distribution using systematic methods to avoid trends, suitable for individual and institutional investors. Semi-Automatic Trader: Engages in structured decision-making with educated guesses, often involved in leveraged trading across sectors. Semi-Automatic Trader: Fully committed to rules-based trading to enhance profits while managing risk, utilizing back-testing and pre-configured systems.
Technical Aspects	Explains technical details of systematic trading in a reader-friendly manner, minimizing jargon and providing glossaries and concept boxes for deeper understanding.
What Is Coming	Structured in four parts: Theory (rationale for strategies), Toolbox (methods like back-testing), Framework (creating strategies), and Practice (applying the framework). Includes resources for further learning.

Systematic Trading and Investing

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Systematic trading and investing is introduced as a solution to the emotional challenges many face when making financial decisions. Despite extensive knowledge and experience in finance, the author acknowledges that fear and greed often disrupt rational thinking, making it difficult to act decisively in trading. The key solution proposed is to systematize the decision-making process, which can reduce emotional strain and improve consistency and performance.

Who Should Read This Book

This book targets a wide audience interested in systematizing their financial decision-making—ranging from amateur investors to market professionals. It aims to provide valuable insights applicable to both trading and investing contexts, using diverse examples from global markets. The book is also relevant for those skeptical about fully automated systems, as it emphasizes the importance of position and risk management within any trading strategy.

Three Examples of Systematic Traders and Investors

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1.

Asset Allocating Investor

: This group focuses on distributing funds among various asset classes, using systematic methods to avoid chasing short-term trends. The strategies presented are suitable for both individual and institutional investors managing long-term portfolios with a focus on ETFs.

2.

Semi-Automatic Trader

: These traders utilize educated guesses within a structured framework to manage risk and enhance decision-making. They often engage in leveraged trading and may operate in various asset sectors.

3.

Staunch Systems Trader

: Fully committed to systematic trading, these investors seek to utilize established rules to enhance profits while managing risk effectively. They might employ back-testing software but can also adapt pre-configured systems offered in the book.

Technical Aspects

The technical details of systematic trading are presented in a

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reader-friendly format, minimizing jargon but introducing essential terminology and concepts. Glossaries and concept boxes are provided for deeper understanding.

What Is Coming

The book is structured in four parts:

- **Theory**: Discusses the rationale for systematic strategies.
- **Toolbox**: Introduces methods like back-testing and portfolio optimization.
- **Framework**: Presents a comprehensive structure for creating systematic strategies.
- **Practice**: Applies the framework to the earlier mentioned trader categories.

Further resources and reading recommendations are included for continued learning, indicating that the book is a

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comprehensive guide to understanding and developing systematic trading strategies rather than a mere manual for automated trading.

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Example

Key Point:Systematic trading helps mitigate emotional turmoil in financial decision-making.

Example:Imagine you're about to make a big financial decision, like investing a significant portion of your savings into stocks. You feel an exhilarating rush as you ponder the potential for profit, but then anxiety creeps in, sparking doubts about market fluctuations and potential losses. By implementing a systematic trading approach, you create a clear set of rules that dictate your buying and selling strategies, effectively sidestepping those emotional highs and lows. With a structured plan in place, you confidently execute trades based on predefined criteria rather than fleeting feelings. This shift not only ensures you maintain consistency but also elevates your performance over time.

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Chapter 2 Summary : January 2009



Chapter 2 Summary

Introduction to Systematic Trading

In January 2009, the author reflects on his experience as a portfolio manager at a hedge fund while contemplating an investment opportunity in the UK banking sector amidst a looming recession. Despite his expertise, he made critical errors due to emotional reactions that limited his potential gains.

Experience in Crisis

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The narrative shifts back to September 2008, where the environment was filled with uncertainty surrounding major financial institutions. The automated trading systems in place outperformed human decision-making amidst a crisis, highlighting the emotional pitfalls that traders face compared to the discipline of systematic trading.

The Case for Systematic Trading

Only a small proportion of actively managed assets are systematically traded, although the trend is shifting favorably toward system trading due to lower costs associated with passive management. It emphasizes how systematic approaches can capture different types of market returns without relying heavily on expert skills.

Technological Advances in Trading

The author discusses the democratization of trading technology, allowing amateur investors to analyze data and execute trades more efficiently. The cost of trading has decreased, and many new platforms facilitate automation, but there remain risks associated with overtrading and poorly designed strategies.

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Challenges of Trading Systems

Many available trading systems lack flexibility and can lead to high risks when applied improperly. The author warns against following systems that assume unrealistic performance or high levels of risk without appropriate adjustments to position sizing.

Objectives of the Book

The author aims to provide a modular framework for systematic trading, allowing for personal customization based on individual needs and experiences. The forthcoming parts of the book will focus on foundational theories and safe practices for implementing a systematic trading approach.

Conclusion

Ultimately, the text sets the stage for understanding and developing a systematic trading strategy that aims to mitigate common pitfalls associated with emotional trading while establishing a clear pathway for achieving disciplined investment practices.

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Chapter 3 Summary : The Flawed Human Brain

Chapter 3 Summary: The Flawed Human Brain

Introduction to Human Decision-Making Flaws

Human minds possess remarkable capabilities, yet they exhibit significant flaws when making financial decisions. This chapter explores the economic theories surrounding human behavior, emphasizing the necessity of systematic trading and investing. It illustrates how irrational tendencies can disrupt the design of systematic strategies.

Understanding Human Trading Abilities

Despite their potential, humans often make poor trading decisions due to cognitive biases that conflict with rational economic expectations. Historical assumptions of rational decision-making in classical finance have been challenged by behavioral finance, which recognizes inherent human biases.

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Cognitive Biases in Trading

Research shows that human biases lead to a reluctance to realize losses while favoring quick profits, also termed as “get-evenitis.” This behavior contrasts with optimal trading strategies that would dictate taking quick losses and allowing winning positions to run, highlighting a significant contradiction in typical human trading behavior.

The Impact of Psychological Factors on Trading

Cognitive biases contribute to behavioral anomalies in the market, impacting decision-making processes and trading outcomes. Historical back-testing reveals that strategies aligned with logical rules often outperform instinct-driven approaches.

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Chapter 4 Summary : Systematic Trading Rules

Section	Summary
Overview of Trading Rules	Discusses the importance of rules in predicting price movements and creating trading systems, along with their success rates and styles.
What Makes a Good Trading Rule	Effective trading rules should be simple, explainable, and built on either historical profitability or data analysis.
When Trading Rules Don’t Work	Rules may fail due to factors like overfitting, market changes, and biases; understanding profitable rules can enhance reliability.
Why Certain Rules are Profitable	Profitability can arise from risk premia, risk appetite, leverage, liquidity, and market behavior, which are key to spotting trading edges.
Classifying Trading Styles	Strategies are categorized as static (minimal adjustments) or dynamic (active decisions), impacting returns based on market conditions.
Achievable Sharpe Ratios	Realistic Sharpe Ratios should be established to avoid overfitting, with a goal of maintaining SR above 1.0 being difficult long-term.
Conclusion	Successful trading systems require diverse strategies, risk understanding, and realistic performance expectations; future chapters will provide further tools and methods.

Chapter 4: Systematic Trading Rules

Overview of Trading Rules

Trading rules are essential for predicting price movements and formulating a trading system. This chapter explores finding effective trading rules, their success rates, and different trading styles.

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What Makes a Good Trading Rule

Success in a trading rule often depends on its foundation, whether it is based on historical profitability (ideas first) or identified through data analysis (data first). A robust trading rule should ideally be simple, explainable, and capable of being systematized.

When Trading Rules Don’t Work

Trading rules may not function in practice due to various reasons like overfitting during back-tests, market changes, and other biases. A rigorous analysis of why certain rules are profitable can aid in understanding their future reliability.

Why Certain Rules are Profitable

Profitability in trading can stem from risk premia, appetite for risk, leverage, liquidity, and market behaviour. Understanding these concepts is crucial for recognizing potential edges in trading strategies.

Classifying Trading Styles

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Trading strategies can be classified as static or dynamic. Static strategies involve holding portfolios without frequent adjustments, while dynamic trading incorporates active trading decisions, which may yield better returns depending on the trader's style and market conditions.

Achievable Sharpe Ratios

It is vital to set realistic expectations for Sharpe Ratios (SR) based on trading strategies. Emphasis should be placed on avoiding overfitting and understanding standard returns for different asset classes. A general SR above 1.0 is challenging to sustain over the long term.

Conclusion

A successful trading system incorporates various strategies, understanding risks, and managing expectations of performance. The following chapters will delve deeper into tools for systematic trading and methods to enhance trading efficacy.

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Example

Key Point:The importance of a solid foundation in developing effective trading rules.

Example:Imagine you're developing a trading strategy for the first time. You sit down with a clean spreadsheet, eager to analyze historical price data. Before you dive into complex algorithms, consider this: a good trading rule must rest on a solid foundation. Rather than simply cherry-picking successful past trades, you focus on the principles of market behavior and risk management. You outline simple rules—like only entering trades during specific market conditions—that you can easily articulate to others. This clarity helps prevent overfitting and provides a robust operational framework, ensuring your system remains trustworthy in varying market environments.

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Critical Thinking

Key Point:The Importance of Simplicity in Trading Rules

Critical Interpretation:Carver argues that simple, explainable trading rules tend to be more successful due to easier systematization and adaptability. However, it is essential to challenge this notion, as what appears simple may oversimplify complex market behaviors and dynamics. Historical data (Fama, 1970; Harvey, 2017) show that simplistic models often fail in changing market conditions, suggesting that while simplicity is beneficial, an overreliance on it could blind traders to vital risks and nuances in trading.

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Chapter 5 Summary : Fitting

Chapter 5: Fitting

Overview of Fitting in Systematic Trading

This chapter discusses the process of using historical data to establish trading rules for systematic trading, emphasizing the importance of selecting worthy rules while avoiding over-fitting, which can lead to poor performance in future trading.

The Dangers of Over-Fitting

- Over-fitting occurs when rules are too closely tailored to past data, yielding misleading results.
- Examples demonstrate the pitfalls of selecting rules based on historical data alone without considering real-world applications.

Effective Fitting Steps

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1. Follow structured procedures if fitting rules is necessary.
2. Utilize the "ideas first" approach to formulate initial trading hypotheses.
3. Calibration of rules is encouraged for fine-tuning, but can lead to implicit over-fitting if familiar ideas are repeatedly tested.

Fitting Process Explained

- Distinguish between fitting (using data to select rules) and testing (evaluating performance).
- Avoid "time machine" scenarios where the same data is used for both fitting and testing, leading to overly optimistic results.
- Recommended approaches include expanding windows or rolling windows for more honest testing.

Common Mistakes in Fitting Practices

- Careful selection is needed when testing variations of trading rules to avoid overconfidence.
- A concrete example illustrates how using too many variations leads to poor predictive power:
    - Best performing variation approach often results in lower

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Sharpe ratios compared to blending multiple strategies together.

Rule Selection Hazards

- Testing a large number of rules can produce misleading findings due to chance.
- Historical data sufficiency is crucial for determining rule viability. More data can improve the reliability of selected rules.

Determining the Required History for Decision-Making

- Understanding how much historical data is necessary to distinguish between trading rules based on their Sharpe ratios.
- A detailed analysis shows that typically a decade or more is required, depending on the expected performance and correlation of the rules.

Pooling Data Across Instruments

- Customizing rules per instrument may lead to overfitting.

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- Fitting rules across multiple instruments can provide a statistical advantage, resulting in better decision-making with available data.

Guidelines for Effective Fitting

1. Simplify fitting methods where possible.
2. Keep the pool of tested rules minimal to mitigate risks.
3. Prioritize expanding or rolling tests over in-sample methods.
4. Be cautious in rule selection; various performances usually require significant historical data to validate.

By following these principles, traders can enhance their systematic trading strategies while minimizing the risks associated with fitting processes.

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Critical Thinking

Key Point:The balance between fitting rules to past data and avoiding overfitting is crucial in trading.

Critical Interpretation:Carver highlights that while historical data can inform effective trading strategies, an over-reliance on this data can lead to rules that perform poorly in real-world conditions. This warns traders to be prudent; merely finding rules that fit past data may yield a false sense of security. Sources like ‘The Black Swan’ by Nassim Nicholas Taleb emphasize the unpredictability of future market conditions, supporting the idea that past performance does not guarantee future success. The notion of overfitting is echoed in the broader fields of statistics and machine learning, where it is widely recognized that complex models tailored to historical data may not generalize well. Therefore, it is essential to question Carver's viewpoint and explore alternative strategies, such as those advocated by other trading theorists, emphasizing robustness and adaptability.

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Chapter 6 Summary : Portfolio Allocation

Section	Content
Introduction	Discusses the allocation of trading capital across instruments or rules, providing tools for system traders and asset allocators. Irrelevant for semi-automatic traders.
Challenges in Portfolio Optimization	Optimizing Gone Bad: Highlights problems with classic optimization leading to extreme portfolio weights. Saving Optimization from Itself: Introduces bootstrapping to mitigate issues from traditional methods by averaging optimizations across data segments.
Methods to Create Portfolio Weights	Making Weights by Hand: Intuitive allocation by grouping similar assets, relying on expert judgment and observed patterns instead of solely mathematical models.
Understanding Weights and Correlations	Analysis of Portfolio Weights: Discusses capital allocation among asset classes and the instability of weights from traditional methods. Importance of Correlation: Correlation affects diversification; higher correlations should lead to lower allocations.
Bootstrapping Approach	Bootstrapping is presented as a stable alternative to traditional optimization, leading to better risk-adjusted returns.
Handcrafting Method	Focuses on asset grouping based on correlations, recommended for informed decisions, though limited in automated backtesting.
Conclusion	Emphasizes risks of overfitting and the value of handcrafted methods for realistic portfolio weights, integrating theoretical and practical insights for better allocation understanding.

Portfolio Allocation

Introduction

This chapter discusses the allocation of trading capital across

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different instruments or trading rules. It aims to provide tools for both staunch systems traders and asset allocating investors. For semi-automatic traders, who do not rely on systematic trading rules, this chapter may not be relevant.

Challenges in Portfolio Optimization

-

Optimizing Gone Bad

: Classic methods of portfolio optimization can lead to extreme and over-fitted portfolio weights, often disregarding the underlying assumptions that could affect real-world trading performance.

-

Saving Optimization from Itself

: Bootstrapping as an alternative technique helps address the issues caused by traditional optimization methods by averaging out results from multiple optimizations across

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Chapter 7 Summary : Framework Overview

Chapter 7 Summary: Framework Overview

Creating Trading Systems

This chapter introduces a framework for building trading systems, outlining a systematic approach that includes various components, simplifying the creation of diverse strategies.

Bad Example of a Trading System

An example is provided of a flawed trading system that highlights issues with position sizing, money management, and stop losses, emphasizing that rules should be adaptable and not static.

Modular Framework Benefits

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-

Flexibility

: The framework is designed to be adaptable to various trading rules and strategies, including discretionary forecasts and asset allocation.

-

Transparent Modules

: Each component of the framework is explained clearly, ensuring users understand and can modify them as needed.

-

Defined Interfaces

: Components must have clear specifications to interact correctly within the system, ensuring consistent performance across various trading rules.

Importance of Framework Design

The framework helps in organizing the various aspects of a trading system, preventing the neglect of foundational components necessary for successful trading. It serves as a tool for both traders developing rules and those interested in asset allocation.

Examples as Starting Points

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The final sections of the book will present three detailed examples of using this framework for different types of traders, providing templates for readers to adapt and develop their unique trading systems.

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Critical Thinking

Key Point:Framework design is crucial for successful trading systems.

Critical Interpretation:While Carver emphasizes the importance of creating a flexible and modular framework for trading systems, readers should critically evaluate whether such a structured approach can truly cater to the unpredictable nature of financial markets. Frameworks are inherently limited by their baseline assumptions and predefined components, which may not account for emergent market behaviors or varying trader psychology. For instance, the concept of adaptability, though appealing, can lead to over-optimization and curve-fitting, as highlighted in 'The E-Myth Revisited' by Michael E. Gerber, where entrepreneurs (or traders) may neglect the unique challenges of real-world implementation. While Carver's systematic trading approach offers clarity, it's essential to consider the limits of systematization in a complex, ever-changing trading environment.

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Chapter 8 Summary : Instruments

Chapter 8: Instruments

Introduction

Before initiating trading, it is crucial to select appropriate instruments. Though you may already have in mind the asset classes you wish to trade based on your knowledge, systematic trading necessitates careful instrument selection.

Chapter Overview

-
Necessities
: Minimum requirements for trading instruments.
-
Instrument Choice and Trading Style
: How characteristics influence both instrument selection and trading methods.
-
Access

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: Various methods to gain exposure to different instruments along with their pros and cons.

Necessities

-

Data Availability

: Access to accurate daily price data is essential for systematic trading. Full automation may require real-time tick prices.

-

Minimum Sizes

: Large minimum sizes can restrict trading options, especially for amateur investors. Understanding minimum sizes is critical for portfolio management.

-

Understanding Price Movements

: Knowing what influences price changes (like interest rates and economic news) is key to effective trading rule design.

Instrument Choice and Trading Style

-

Number of Instruments

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: A diverse portfolio is ideal, limited only by minimum sizes and risk targets.

-

Correlation

: Aim for low average correlations between chosen assets to ensure a well-diversified portfolio.

-

Costs

: Always opt for the least expensive trading option between similar instruments. Cost factors are vital, especially for dynamic trading strategies.

-

Liquidity

: Critical for executing trades efficiently; less liquid instruments often come with higher trading costs, especially during market stress.

-

Skew

: Be cautious of including instruments with negative skew in your portfolio, as they can introduce significant risk.

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-

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Exchange vs. OTC
: Trading on exchanges is generally preferable due to more reliable execution compared to over-the-counter methods.
-
Cash vs. Derivatives
: Evaluate whether to own assets directly or through derivatives, weighing leverage, costs, and market access.
-
Collective Funds
: Using index trackers or mutual funds can be suitable when derivatives are inaccessible. Be aware of their unique features and costs.

Summary of Instrument Choice

1.
Data Availability
: Essential for systematic trading.
2.
Minimum Sizes
: Critical for small investors.
3.
Understand Price Drivers
: Keep informed about market influences.

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4.

Standard Deviation of Returns

: Avoid instruments with extremely low volatility.

5.

Number of Instruments

: Maximize portfolio size within constraints.

6.

Correlation of Returns

: Strive for diversification.

7.

Costs

: Favor lower-cost instruments.

8.

Liquidity

: Essential for larger trades.

9.

Skew of Returns

: Handle negative skew with care.

10.

Trading Venue

: Prefer exchange for access.

11.

Cash or Derivative

: Assess the best trading mechanism.

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12.

Collective Funds

: Consider when direct trading is impractical.

Conclusion

With a clear understanding of what instruments to trade, the next step is to focus on how to forecast prices effectively, leading into the next chapter.

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Chapter 9 Summary : Forecasts

Chapter 9: Forecasts

Overview of Forecasts

Forecasts play a crucial role in trading and investment strategies. They can stem from various trading rules, including simple and complex systems. This chapter discusses the creation and use of forecasts in systematic trading and the different styles of investors.

Good Forecast Properties

Understanding the essential characteristics of forecasts is vital for effective trading. This section addresses how to make forecasts that align with expected returns and risks.

Discretionary Trading and Stop Losses

Semi-automatic traders create forecasts based on personal judgment rather than strict systematic rules. Techniques for

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implementing stop-loss strategies amid discretionary trading are outlined.

The Asset Allocating Investor’s Rule

For asset allocating investors, the simplest approach involves maintaining a consistent forecast across all assets. This section explores the rationale behind a uniform strategy.

Two Systematic Trading Rules

The chapter outlines two example rules for staunch system traders—trend-following using Exponentially Weighted Moving Average Crossover (EWMAC) and the carry rule, which capitalizes on stable market conditions.

Creating and Adapting Trading Rules

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Chapter 10 Summary : Combined Forecasts

Combined Forecasts

This chapter discusses the process of combining forecasts from different trading rules, essential for systematic traders who work with multiple trading strategies.

Importance of Combining Forecasts

- Traders often face the dilemma of conflicting predictions from multiple rules. For instance, one rule may suggest buying while another indicates selling, creating uncertainty about the best course of action.
- To resolve conflicting forecasts, a single combined forecast must be created for each instrument.

Combining with Forecast Weights

- A combined forecast is achieved by calculating a weighted average of individual forecasts, with weights that sum up to

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100%.
- For example, if trading crude oil, one might have conflicting forecasts from different strategies, which can be reconciled using forecast weights.

Choosing Forecast Weights

- The selection of forecast weights can be compared to portfolio allocation in investing.
- Weights can be determined through a handcrafted method using historical performance data and correlations, or via bootstrapping techniques.
- An example illustrates grouping individual rule variations to allocate weights effectively.

Adjusting Combined Forecasts

- Due to the nature of diversification, combined forecasts may end up with a smaller range than desired.
- To address this, a forecast diversification multiplier is applied to achieve the expected variability (recommended average absolute value of 10).

Capping Combined Forecasts

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- Even with a diversification multiplier, combined forecasts should be capped within the limits of -20 to +20 to mitigate extreme predictions that could lead to binary trading approaches.

Summary of Combining Forecasts

1.
Individual Forecasts
: Derive forecasts for each trading rule variation, maintaining an expected absolute value around 10.
2.
Forecast Weights
: Assign positive weights to each rule variation, ensuring they total 100%.
3.
Calculating Raw Combined Forecast
: Use the determined weights to compute a weighted average of forecasts.
4.
Applying Diversification Multiplier
: Adjust the raw combined forecast using a multiplier based on correlation estimates to ensure appropriate variability.

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5.

Final Combined Forecast

: Cap the adjusted forecast within the -20 to +20 range to ensure both risk management and decision-making clarity. This structured approach allows traders to effectively manage and capitalize on multiple trading strategies while ensuring their forecasts remain reliable and actionable.

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Chapter 11 Summary : Volatility targeting

Section	Summary
Overview of Volatility Targeting	Volatility targeting helps determine position size in trading based on acceptable risk levels aligned with trader preferences and finances.
The Importance of Risk Targeting	Understanding personal risk appetite is crucial; many traders fail due to oversized positions. Proper assessment includes knowledge of system characteristics and personal loss tolerance.
Setting a Volatility Target	Volatility target is defined as the expected standard deviation of returns, expressed in percentage or cash terms, tied to a specific time period.
Risk Assessment Procedures	Investors need to evaluate their capital, maximum tolerable loss, and comfort level with potential losses to assess realistic risk target achievement.
Loss Projections and Psychosocial Considerations	Understanding potential loss distributions and preparing psychologically for drawdowns is essential for maintaining risk tolerance.
Adjusting Volatility Targets	Volatility targets should be adjusted with changes in capital to mitigate bankruptcy risks and ideally compound profits into them.
Position Sizing Integration	Position sizing should reflect the volatility target and follow traditional money management techniques, calculating the percentage of capital at risk per trade.
Recommended Volatility Targets	Recommendations depend on Sharpe ratio and return skew, with a maximum advisable volatility target of 50% for most traders.
Final Considerations	Set conservative volatility targets based on realistic expectations, with adjustments only made after significant changes to risk tolerance.
Conclusion	Volatility targeting influences trading success, requiring a balance between risk appetite, market understanding, and psychological resilience.

Chapter 11 Summary: Volatility Targeting

Overview of Volatility Targeting

- Volatility targeting is essential for determining position size

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in trading. This involves assessing how much risk is acceptable in alignment with the individual trader's preferences and financial situation.

The Importance of Risk Targeting

- Understanding risk appetite is crucial, as many amateur traders fail due to positions that are too large relative to their accounts.
- Proper risk assessment involves knowing your trading system's characteristics, expected performance, possible performance skew, and personal loss tolerance.

Setting a Volatility Target

- The volatility target is measured as an expected standard deviation of returns, either in percentage or cash terms, specifying the time period.
- For instance, if you have $1 million capital and set a 10% volatility target, the cash equivalent is $100,000.

Risk Assessment Procedures

- Evaluate how much capital you have to invest, the

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maximum loss you can tolerate, and your comfort level with potential losses.
- Assess if you can realistically achieve your risk target based on the trading instruments and leverage available.

Loss Projections and Psychosocial Considerations

- Understanding the expected distribution of losses is essential. Regardless of the strategy, substantial drawdowns are common, and psychological readiness is necessary to handle these.
- The risk tolerance should match the trader's emotional resilience to withstand potential losses.

Adjusting Volatility Targets

- Volatility targets should be adjusted based on changes in capital due to gains or losses to avoid increased bankruptcy risks.
- Profits should ideally be compounded into the volatility target, increasing potential returns over time.

Position Sizing Integration

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- Position sizing should reflect the volatility target and be tied to traditional money management systems.
- Calculate the maximum percentage of capital risked per trade to derive implied volatility targets.

Recommended Volatility Targets

- Recommendations vary based on the Sharpe ratio and return skew of the trading system.
- For most participants, a maximum volatility target of 50% is advisable, with reductions for negatively skewed strategies.

Final Considerations

- Set conservative volatility targets guided by realistic expectations of future performance, not just historical back-tested results.
- A fixed volatility target is ideal, altered only after significant misalignment or changes in personal risk tolerance, always prioritizing long-term sustainability and profitability.

Conclusion

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- Volatility targeting is a multifaceted strategy that directly influences trading success, requiring a careful balance between risk appetite, market understanding, and personal psychological resilience.

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Critical Thinking

Key Point:Volatility targeting is vital in establishing position sizes for trading success.

Critical Interpretation:Carver emphasizes that successful traders master the art of adjusting their position sizes based on volatility targets. While this approach seeks to align risk with an individual's emotional and financial capacity, it's critical to recognize that adopting a one-size-fits-all strategy may not yield the intended results. Different traders have unique qualities and circumstances that influence their risk tolerance and market behavior. Critics may argue that reliance on statistical metrics like volatility could obscure the more intuitive, experience-based judgments that seasoned traders rely on. Furthermore, insights from sources like "The Intelligent Investor" by Benjamin Graham highlight the risks inherent in a purely quantitative approach, suggesting that psychological factors and market sentiment should also play a significant role in trading decisions.

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Chapter 12 Summary : Position Sizing

Chapter Twelve: Position Sizing

Overview of Position Sizing

This chapter addresses Sergei’s three key questions about trade evaluation: the liking of a trade, the ability to afford losses, and the riskiness of the trade. Understanding these elements leads to determining the appropriate size of financial positions.

Understanding Trade Risk

-
Position Risk and Volatility Target
: The risk posed by owning one unit (block) of an instrument impacts position size. The trader needs to assess the expected risk associated with holding each instrument based on forecasts and volatility targets.
-
Defining Instrument Block and Block Value

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: The 'instrument block' is the unit size for trading, while the 'block value' indicates the monetary impact of a 1% price change.

Price Volatility and Its Measurement

- Daily price volatility varies by asset type; equities tend to exhibit higher volatility compared to bonds. Standard methods to measure volatility include moving averages and examining recent price changes. The author suggests an optimal look-back period of 25 business days for accurate volatility estimation.

Instrument Currency Volatility

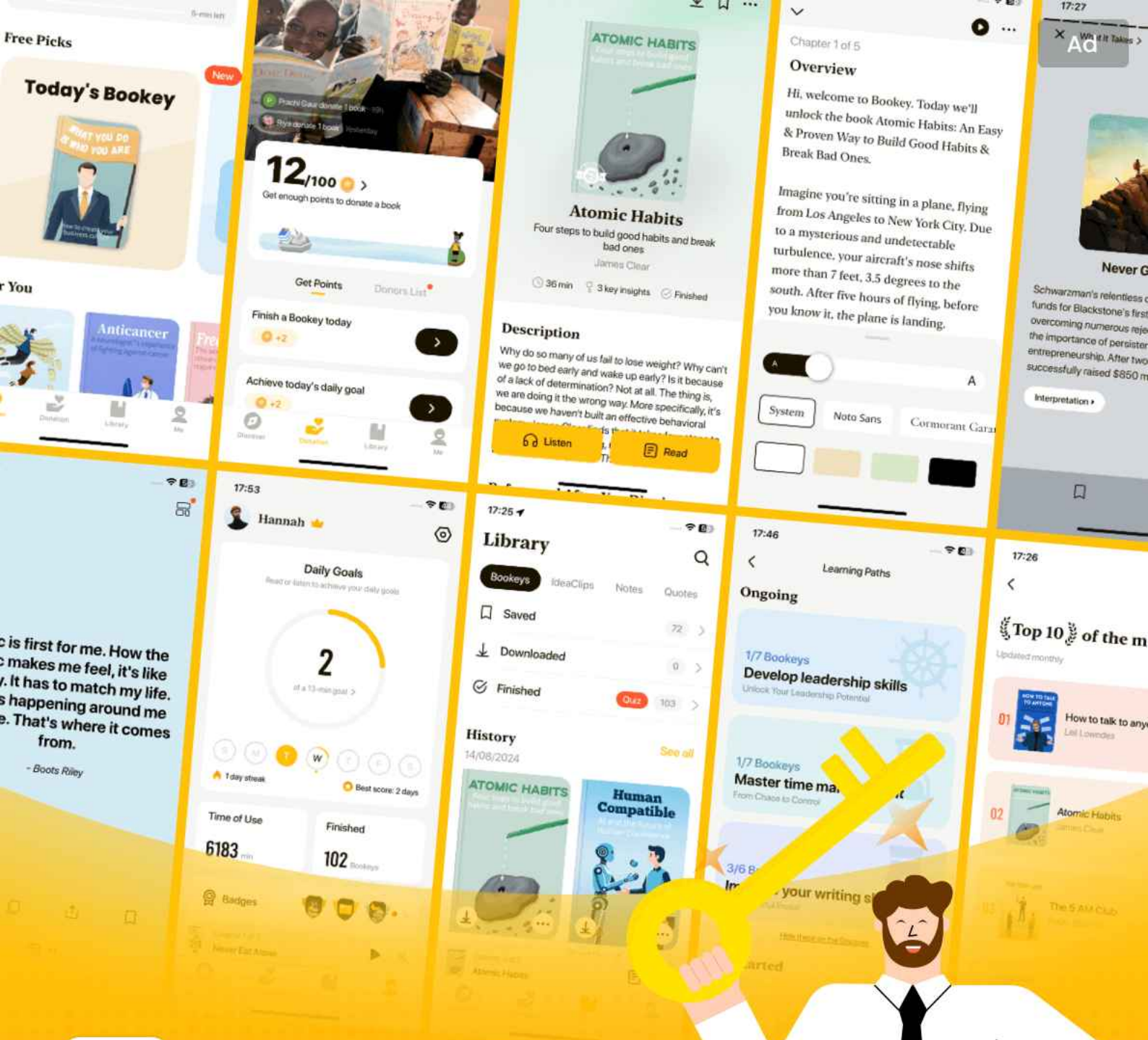
- Instrument currency volatility quantifies the expected daily changes in value from owning a unit of the asset. For traders operating in various currencies, converting this to 'instrument

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Chapter 13 Summary : Portfolios

Section	Summary
Overview of the Problem	Traders often hold too few assets (typically less than five equities); diversification enhances the expected Sharpe ratio.
Creating Portfolios and Using Instrument Weights	A diversified mix of trading subsystems and instruments is essential, with each having defined weights summing to 100%.
Types of Traders and Instrument Weights	Asset Allocators: Fixed portfolios based on simple forecasts. Staunch Systems Traders: Use rules for forecasts and scale into positions. Semi-Automatic Traders: Manage opportunistic positions based on forecasts.
Instrument Weights Calculation	Weights can be determined through correlations or indicative tables; dynamic traders may adjust correlations.
Instrument Diversification Multiplier	A multiplier compensates for risk reduction in diversified portfolios; asset allocators and staunch system traders utilize correlation data for this.
Example Portfolio Calculations	Shows calculations for positions/trades using assets like S&P 500 and NASDAQ, based on expected volatility and target positions.
Trade Execution and Position Inertia	Position inertia helps avoid excessive trades; a rule recommends not trading if current positions are within 10% of target.
Summary of the Process	Constructing portfolios involves calculating subsystem positions, defining weights, applying multipliers, and executing trades efficiently, including position inertia for cost management.

Chapter 13: Portfolios

Overview of the Problem

- Many individual traders and amateur investors often hold too few assets in their portfolios, commonly less than five equities. Diversification is important, as it can significantly

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improve the expected Sharpe ratio.

Creating Portfolios and Using Instrument Weights

- A mix of different trading subsystems and instruments is crucial. Each instrument in a portfolio should have a defined weight, summing to 100%. This includes consideration for semi-automatic traders who manage multiple positions across various instruments.

Types of Traders and Instrument Weights

-
Asset Allocators
: Operate fixed portfolios of trading subsystems, one for each instrument. They use simple forecasts to allocate trading capital.
-
Staunch Systems Traders
: Use a combination of trading rules to create forecasts which they scale into positions.
-
Semi-Automatic Traders
: Do not have static portfolios but rather manage

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opportunistic positions based on forecasts.

Instrument Weights Calculation

- Instrument weights can be handcrafted using correlations from back-test data or from indicative tables. For dynamic traders, correlations may need adjustment (e.g., multiplied by 0.7).

Instrument Diversification Multiplier

- A diversification multiplier compensates for reduced risk in diversified portfolios. Asset allocators and staunch system traders utilize correlation data to finalize their multipliers, while semi-automatic traders base theirs on the ratio of maximum to average bets.

Example Portfolio Calculations

- A practical example demonstrates how to calculate positions and trades using selected assets like the S&P 500, NASDAQ, and US Bonds. Calculations include subsystem positions based on expected volatility, current positions, and trades needed based on the assessed target positions.

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Trade Execution and Position Inertia

- Position inertia is introduced to avoid excessive trades due to minor fluctuations in position target compared to current holdings. A rule of avoiding trades when current positions are within 10% of target positions is recommended.

Summary of the Process

- The process of constructing a portfolio of trading subsystems involves calculating subsystem positions, defining instrument weights, applying a diversification multiplier, and executing trades in an efficient manner, incorporating concepts like position inertia for better cost management.

This chapter provides a comprehensive approach to building diversified trading portfolios and emphasizes the importance of systematic trading to optimize returns.

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Chapter 14 Summary : Speed and Size

Chapter 14: Speed and Size

Overview

The chapter discusses the importance of trading speed and size in designing trading systems. It differentiates between nimble traders and portfolio managers, exploring how each should adjust their strategies based on trading frequency and account size.

Speed of Trading

- Trading speed varies based on expected price movements and costs.
- High confidence in predictions leads to quicker trades; however, overconfidence can result in unwise trading decisions.
- Designing systems should aim to mitigate high trading costs.

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Calculating Trading Costs

-
Execution Costs
: Delivery cost that reflects the difference between the expected mid-price and actual execution price, influenced by trade sizes relative to market volume.
-
Types of Costs
:
  - Execution Cost (based on bid-offer spread)
  - Commissions
  - Percentage fees and taxes
-
Standardizing Costs
: Convert costs to a standardized measure against the Sharpe Ratio to understand trading effectiveness relative to costs.

Turnover and Its Impact

- Turnover indicates how frequently trades are made, which directly impacts costs.
- High turnover leads to increased costs, impacting overall returns.

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- Sources of turnover include forecast changes, volatility shifts, capital adjustments, and trading system parameters.

Design Decisions Based on Costs

- Traders should identify costs and evaluate if potential gains justify trading speed.
- Establish a 'speed limit' by capping turnover to ensure costs do not exceed a third of expected returns.

Trading with Varying Capital

- Larger capital allows for different strategies but can lead to higher execution costs due to market impact.
- Smaller capital limits instrument choices and can lead to suboptimal trading positions.

Determining Overall Portfolio Size

- A diversified portfolio should consider maximum position sizes to avoid liquidity issues.
- Recommendations include maintaining at least four instrument blocks per asset for more balanced risk

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management.

Summary and Recommendations

- Traders should assess standardized costs when making decisions about instrument selection and trading speed.
- Adjust strategies to ensure trading costs remain manageable relative to expected returns.
- Maintain a diversified approach while being mindful of the limitations imposed by capital size.

The chapter summarizes the need for balancing speed, costs, and available capital while tailoring trading systems to optimize potential returns without incurring excessive trading costs.

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Chapter 15 Summary : Semi-automatic Trader

Chapter 15: Semi-automatic Trader

Overview

This chapter provides a guide for semi-automatic traders who wish to blend discretionary forecasts with a systematic risk management framework. It details the process of trading using daily housekeeping routines and systematic calculations.

Who Are You?

Semi-automatic traders rely on their own market predictions while employing a structured framework to manage risk and capital effectively. This approach combines intuitive trading with systematic safeguards like stop losses.

Using the Framework

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The framework can be utilized across different markets, particularly in equity indices and FX spread betting. The chapter emphasizes the importance of daily checks on existing positions and timely adjustments to accommodate market changes.

Process Overview

- Conduct daily housekeeping to close positions that hit stop losses.
- Assess portfolio volatility and adjust estimates regularly.
- Monitor the markets for new trading opportunities.

Instrument Choice: Size and Costs

Semi-automatic traders should carefully choose instruments based on trading costs, bet sizes, and volatility levels.

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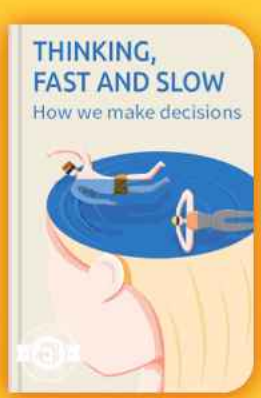
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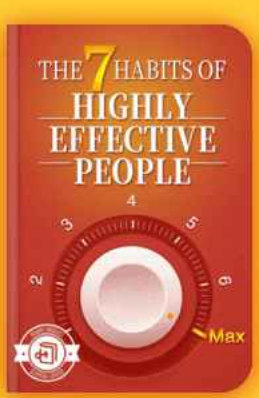
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Chapter 16 Summary : Asset Allocating Investor

Chapter 16 Summary: Asset Allocating Investor

Overview

This chapter focuses on asset allocating investors who do not believe in forecasting asset prices. It outlines a systematic framework for allocating capital across various assets using a 'no-rule' trading approach linked to an assumption of equal Sharpe ratios across investments.

Who Are You?

Asset allocating investors prioritize a diversified portfolio to achieve optimal returns without attempting to predict relative risk-adjusted returns. They utilize a systematic framework supported by exchange-traded funds (ETFs) to access various asset classes affordably. Specific investment constraints are detailed, including limits on bond allocations (max 40%) and

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regional equity investments.

Using the Framework

Investors will select ETFs based on diversification, costs, volatility, and size considerations, with the chapter recommending a limited number of ten specific instruments for simplicity. Cost-effectiveness is emphasized, particularly for bond ETFs, to ensure alignment with desired volatility targets.

Weekly Process

A structured weekly process is suggested to manage and rebalance portfolios effectively, including obtaining account values, calculating cash volatility targets, and adjusting positions based on market conditions.

Volatility Target Calculation

Investors are advised to establish a percentage volatility target based on instrument price volatility estimates, incorporating factors such as leverage and market behavior to dictate position sizing. The ideal cash volatility target is

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calculated to maintain a desired leverage factor.

Instrument Weights and Portfolios

The chapter introduces the concept of determining instrument weights for portfolio allocation based on static trading rules, leveraging unadjusted return correlations to shape asset allocations. Various methods, such as handcrafted weights, are discussed alongside constraints from institutional mandates.

Adjustments Based on Performance Predictions

Investors may choose to adjust portfolio weights based on predictions for asset performance. These adjustments should be limited and infrequent to mitigate costs associated with increased trading activity.

Conclusions

The chapter emphasizes a systematic, disciplined approach to asset allocation without reliance on market predictions. It outlines a comprehensive framework for managing and rebalancing portfolios, keeping in mind various constraints and trading costs.

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Chapter 17 Summary : Staunch Systems Trader

Chapter 17 Summary: Staunch Systems Trader

Overview of the Chapter

This chapter caters to dedicated systems traders who prefer a systematic framework combined with multiple rules for predicting asset prices, specifically focusing on futures trading.

Who Are You?

The chapter discusses the profile of a staunch systems trader, emphasizing the complexity of futures trading and assuming an initial capital of $250,000. It targets part-time traders who can trade daily while utilizing freely available data.

Using the Framework

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Instrument Choice: Size, Diversification, and Costs

Proper instrument selection is crucial, given limitations on minimum contract sizes and the necessity for reasonable diversification without high trading costs. A recommended diverse set of instruments is provided, ensuring manageable risks and costs.

Selecting Trading Rules

The chapter utilizes two primary trading rules: the trend-following EWMAC rule and the carry rule, employing historical data to analyze price trends across different futures.

Forecast Weights and Trading Speed

Combining forecasts from different trading rules involves calculating specific weights based on historical performance data. The recommendations aim to maintain balance within the portfolio while considering cost efficiency.

Volatility Target Calculation

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A crucial step involves determining a volatility target based on expected performance and acceptable risk levels. Following conservative back-testing methods, a 20% annual volatility target is deemed appropriate for the proposed trading strategy.

Position Sizing and Measuring Price Volatility

Position sizing is calculated from the volatility estimates of each instrument to ensure alignment with the overall risk profile of the portfolio. This entails using historical pricing data to derive instrument value volatility.

Portfolio of Trading Subsystems

The chapter outlines the construction of a diversified portfolio through the grouping of trading subsystems by asset class. Specific weights are applied to ensure compliance with contract size requirements while maintaining systematic coherence.

Daily Process

A structured daily process for managing accounts is

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provided, including steps to calculate account value, update prices, analyze volatility, and execute trades. This promotes operational efficiency and disciplined trading.

By following these guidelines, a staunch systems trader can effectively construct and manage a diversified trading portfolio using a systematic approach grounded in established trading rules and regular evaluation processes.

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Critical Thinking

Key Point:The importance of a structured approach in trading futures.

Critical Interpretation:While the systematic framework presented by Carver guides traders towards disciplined decision-making, it may not capture the multifaceted nature of market behaviors, where unpredictability often undermines rigid adherence to strategies. In those instances, behavioral finance literature—such as works by Daniel Kahneman and Amos Tversky—argues that cognitive biases can significantly influence trading outcomes, suggesting that a purely systematic approach might lead traders to overlook intuitive market insights. Therefore, aspiring traders should remain open to integrating adaptive strategies alongside systematic methods to navigate the complexities of market dynamics.

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Chapter 18 Summary : Glossary

Glossary of Terms in Systematic Trading

Active Fund and Management

- Collective funds aiming to outperform the market through active trading. Typically more expensive than passive funds.

Alpha

- The excess return generated by a manager beyond the market return (beta).

Alternative Beta

- A return that can be achieved through active trading but does not require skill.

Annualised Cash Volatility Target

- A specific target for cash volatility.

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Asset Allocating Investor

- An investor focusing on portfolio optimization without forecasting prices.

Asset Class

- Categories of tradable securities like equities and bonds.

Back-Testing

- Historical simulation of a trading system's performance.

Beta

- Represents market exposure returns; contrasted with alpha.

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Chapter 19 Summary : Appendix A. Resources

Appendix A: Resources

Further Reading

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Cognitive Bias

- *Thinking, Fast and Slow* by Daniel Kahneman: A must-read on cognitive biases.
- *Beyond Greed and Fear* by Hersh Shefrin: A concise exploration of cognitive bias in finance.
- *The Education of a Speculator* by Victor Niederhoffer: A blend of autobiography and trading philosophy.

Systematic Trading Rules

- *More Money than God* by Sebastian Mallaby: A comprehensive history of hedge funds and trading strategies

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– compulsory reading.
- *Expected Returns* by Antti Ilmanen: An in-depth look at sources of returns and risk premia.
- *When Genius Failed* by Roger Lowenstein: Analyzes the failure of Long-Term Capital Management – essential reading for negative skew trading.
- *Rogue Trader* by Nick Leeson: A cautionary tale of negative skew mishaps.
- *The Greatest Trade Ever* by Gregory Zuckerman: Narrative of John Paulson's successful trade in mortgage securities.
- *The Black Swan* by Nassim Taleb: Discusses unknown unknowns – optional reading.
- *Fooled by Randomness* by Nassim Taleb: Essential for anyone considering back-testing.

Trading Rules and Forecasts

- *Trading Systems and Methods* by Perry J. Kaufman: A comprehensive resource for trading strategies.
- *Technical Analysis* & *Fundamental Analysis* by Jack Schwager: Foundational texts for technical and fundamental trading – both compulsory.
- *Hedge Fund Market Wizards* by Jack Schwager:

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Interviews with hedge fund managers, useful insights especially from Michael Platt.

Volatility Targeting

- *Fortune’s Formula* by William Poundstone: Engaging history on the Kelly Criterion – compulsory reading.

Semi-Automatic Trader

- *How to Win at Financial Spread Betting* by Charles Vincent: Provides a solid introduction to spread betting mechanics.

Asset Allocating Investor

- *FT Guide to Exchange Traded Funds and Index Funds* by David Stevenson: UK-focused ETF insights.
- *The ETF Book* by Richard Ferri: US-focused discussion on ETFs.

Staunch Systems Trader

- *Trading Commodities and Financial Futures* by George

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Kleinman: A useful introduction to futures trading.

Sources of Free Data

- Various websites providing free and subscription-based historical data, including Quandl and finance.yahoo.com.

Brokers and Platforms

- Choosing a broker: Consider cost, product availability, customer service, and features.
- Recommended broker: Interactive Brokers for automated system users.

Automation and Coding

- Strategies can be implemented using Excel or commercially available software (e.g., NinjaTrader, TradeStation).
- Coding your own strategy offers flexibility but requires more work. Interactive Brokers API supports multiple programming languages.

Appendix B: Trading Rules

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(Note: Content for Appendix B is not provided in the original text, hence no summary can be created.)

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Chapter 20 Summary : Appendix B. Trading Rules

Appendix B: Trading Rules

The A and B System: Early Profit Taker and Early Loss Taker

The A and B system consists of two trading rules: the early profit taker (A = 5, B = 20) and the early loss taker (A = 20, B = 5). Although not recommended for actual trading, these rules highlight important trading behaviors.

Specification Parameters

- **A and B:**
  Two parameters needed for variations.
- **Standard Position Size:**
  $100,000 divided by instrument value volatility.

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Initial Position:

Long one standard position size.

-

Deviation:

One daily standard deviation of returns measured in price points.

Trading Mechanics

-

Profit Target (Long):

Sell and go short after A deviations from the last entry price.

-

Trailing Stop Loss (Long):

Sell and go short after B deviations from the high since entry.

-

Reverse Position:

Upon reversal, re-measure deviation and set new stop loss/profit targets.

Characteristics of the A and B System

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- If A > B: More frequent stop losses but can capitalize on trends (early loss taker).
- If B > A: Frequent profit taking but may incur losses on adverse movements (early profit taker).

The Exponentially Weighted Moving Average Crossover (EWMAC) Rule

The EWMAC rule uses the difference between two EWMAs to capture trends, adjusted for volatility. Parameters include fast and slow look-back windows, decay parameters, and standard deviation adjustments.

Look-back Windows and Decay Parameters

- Pairs of look-back values for EWMAC: 2:8, 4:16, 8:32, etc.
- Decay parameter calculation is based on the look-back window.

EWMA Formula

The formula calculates recent prices weighted by decay factors, providing a consistent trend measurement.

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Forecast Calculation

The forecast scalar is adjusted to standardize the expected forecast value around 10, with caps set for extreme values.

The Carry Trading Rule

Defined for various asset classes to calculate expected returns. Calculations include net expected returns based on dividend yields, funding costs, and price differentials for different financial instruments.

Forecast Calculation for Carry

The forecast is the net expected return in price units standardized by the annualized standard deviation of returns. A forecast scalar of 30 is recommended for this measure.

Turnover of Carry

Turnover varies by asset class; however, checking forecasts weekly suggests a reasonable turnover estimate of 10 round trips per year.

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Appendix C: Portfolio Optimization

(Details not provided in the text but assumed to follow subsequent sections related to trading rules and systems.)

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Chapter 21 Summary : Appendix C. Portfolio Optimisation

Appendix C: Portfolio Optimisation

Bootstrapping Overview

- Bootstrapping involves selecting random subsets of past normalized returns to optimize portfolio weights while maintaining an expected standard deviation.
- Steps include:
  1. Choose a random subset of past returns.
  2. Calculate the correlation and average returns for that subset.
  3. Optimize using the subset's data and record weights.
  4. Repeat to average weights across iterations.

Considerations for Bootstrapping

-

Selection of Return Periods

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: Randomly drawn daily returns may lose time series correlation; thus, block bootstrapping, which uses consecutive returns, may be necessary.

-

Period Length

: Shorter periods yield extreme optimizations, while longer periods stabilize results. A rule of thumb is to use samples equal to 10% of total history duration.

-

Iterations

: More iterations improve results, but benefits diminish significantly beyond a certain point.

Effectiveness of Bootstrapping

- Research indicates bootstrapping outperforms single period optimization and equal weights.
- It provides consistent performance across various data sets.

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Chapter 22 Summary : Appendix D. Framework Details

Appendix D: Framework Details

Rescaling Forecasts

To create personalized trading rules, it is essential to rescale the forecasts so that their average absolute value is approximately 10. This involves back-testing the trading strategy solely for forecast values, without analyzing performance. It is advisable to average forecast values across multiple instruments. Calculate the average absolute forecast value from the back-test—if there is significant variability across instruments and time, the trading rule may be poorly specified. Once the average absolute value is determined, divide it into 10 to obtain the forecast scalar. For instance, if the average absolute value is 0.3, the scalar would be 10 ÷ 0.3 = 33.33.

Calculation of Diversification Multiplier

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Forecast Diversification Multiplier

For N trading rule variations, with a correlation matrix of forecast values (H) and forecast weights (W) summing to 1, the formula for the diversification multiplier is:

1 ÷ [" (W × H × W T)]

Negative correlations must be floored at zero before calculation to prevent inflation of the multiplier.

-

Instrument Diversification Multiplier

For N trading subsystems, the same formula applies, using the correlation matrix of returns (H) and instrument weights (W).

-

Spreadsheet Example

For a portfolio of three assets, if the correlation matrix is located in cells A1:C3 and relevant weights in F1:F3, the diversification multiplier can be calculated using: 1/SQRT(MMULT(TRANSPOSE(F1:F3), MMULT(A1:C3,F1:F3)))

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Calculating Price Volatility from Historic Data

In a spreadsheet, assuming daily prices are in column A, first calculate the percentage returns in column B:
B2 = (A2 – A1) / A1, B3 = (A3 – A2) / A2, ...
Then, for price volatility from row 26 onwards, use a 25-day moving average:
C26 = STDEV(B2:B26), C27 = STDEV(B3:B27), ...
An alternative method is to apply an exponentially weighted moving average (EWMA). For a variable X, if yesterday's EWMA is Et-1, today's EWMA is computed as:
(A × Xt) + [Et-1 (1-A)]
To determine the smoothing parameter (A), use A = 2 ÷ (1 + L), where L is the volatility look-back (for a default of 36 days, A = 0.054). With 0.054 in cell AA1 and returns in column B, calculate squared returns in column C (C2 = B2^2). Estimate variance recursively: D2 = C2, D3 = C3 × AA1 + ((1 – AA1) × D2), etc. The actual volatility can then be derived as:
E2 = SQRT(D2), E3 = SQRT(D3), ...

Acknowledgements

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Chapter 23 Summary : Acknowledgements

Acknowledgements

Introduction

This book is a product of seven years spent at AHL, where the author learned the intricacies of systematic trading without revealing any corporate secrets.

Gratitude to Colleagues

The author expresses deep appreciation for the intelligent and friendly colleagues at AHL, the Man Group, and the Oxford Man Institute. Individual mentions include Pietro Parodi for his invaluable feedback and Thomas Smith for his extensive assistance with drafts.

Acknowledgement of Support

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A special thank you is extended to Stephen Eckett for recognizing the potential in the author's original proposal, and to editor Craig Pearce for balancing encouragement with constructive criticism.

Family Appreciation

The author's family is acknowledged for their unwavering support, even when the transition from a typical work-life to a writing career created challenges.

Conclusion

The author closes with thanks to readers for engaging with the material.

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Chapter 1 | Quotes From Pages 10-25

1. Fortunately there is a solution. The answer is to fully, or partly, systematise your financial decision making.
2. Creating a trading system removes the emotion and makes it easier to commit to a consistent strategy.
3. This book should help you to reap similar benefits.
4. I will explain how to develop your own trading system, for your own needs, and which should not be excessively dangerous or costly to operate.
5. Trading rules provide a prediction on whether something will go up or down in price.
6. This book is intended for everyone who wishes to systematise their financial decision making, either completely or to some degree.
7. Inventing your own system requires extra work upfront, but

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it is more satisfying and profitable in the long run.

Chapter 2 | Quotes From Pages 28-49

1. But I also looked at investing in the other major UK banks.
2. Everything had happened as expected – I should go ahead and buy. But what if this went wrong?
3. Humans are better than computers at complex intellectual tasks. But as these two stories show, our emotions prevent us from fully utilizing this intelligence.
4. I don’t believe there is any magic system that will automatically make you huge profits, and you should be wary of anyone who says otherwise.
5. Success in systematic trading is mostly down to avoiding common mistakes such as over complicating your system, being too optimistic about likely returns, taking excessive risks, and trading too often.

Chapter 3 | Quotes From Pages 52-76

1. Unfortunately there have been many other times when a systematic strategy would have made

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better decisions than I did.

2.In fact despite their awesome complexity human brains like mine, and yours, are fundamentally flawed.

3.To see why this happens we need to understand how economists have tried to model and understand human behaviour.

4.Selling is an admission of failure.

5.There is no point running a systematic trading strategy unless you can stick to it.

6.We think we know more than the trading system and we do; the system focuses on a narrow set of quantifiable inputs.

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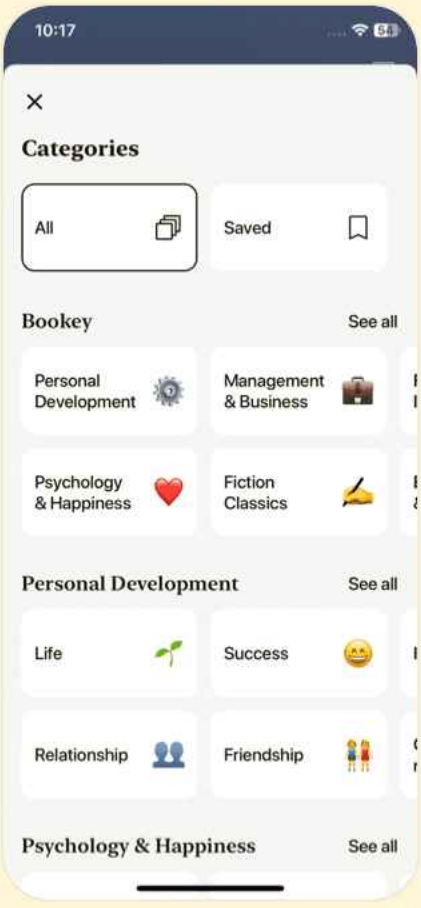
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Chapter 4 | Quotes From Pages 77-161

1. In my experience consistently profitable trading comes out of careful research, done by thoughtful and knowledgeable people, who seek to understand where their profits come from.
2. To trust a trading rule I like to have both a good story and a rigorous back-test.
3. It’s easier to classify the trading rule and work out where its profits are coming from.
4. A complicated system might buy or sell when prices moved higher, depending on the exact pattern. This would make its behavior less obvious and more unpredictable.
5. But there are at least two different ways to find rules that made money in the past.
6. With an ideas first approach you can easily explain why a strategy was profitable, since the explanation is inherent in the original idea.
7. The more complex a data-driven trading rule is the harder it will be to explain.

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8.Explainable profits are important; if you know why something was profitable in the past you can also have some idea of whether profits will continue, or if and when the rule might fail.

Chapter 5 | Quotes From Pages 164-220

1.This process is often called fitting. Given our human tendency to be overconfident this procedure is fraught with danger.

2.The discovery of apparently profitable rules sifted from thousands of possibilities is an incredibly dangerous approach.

3.When fitting there are always two distinct time periods. First there is the period used to fit the model, and secondly the time period used to test it.

4.You should not use a data first method for which you don’t have any deep understanding.

5.Keep it simple.

6.Pool data across instruments.

Chapter 6 | Quotes From Pages 221-258

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1. Just because an equation is wonderful to behold doesn’t mean you should slavishly use its results without thought of the consequences.
2. Portfolio optimisation is hard. But there are a few difficulties that don’t arise when you’re using it to design trading strategies.
3. Optimisation is more of an art than a science.
4. You should be able to do better than equal weights, as there is significant data about correlations.
5. The averaged weights naturally reflect the amount of uncertainty that the data has.
6. Why not just write down the right weights to start with?

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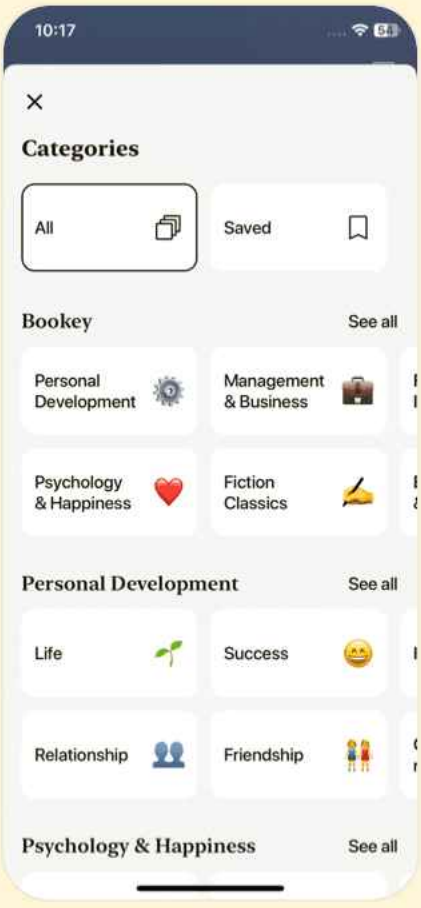
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Chapter 7 | Quotes From Pages 261-282

1. 'The solution is to separate out the components of your system: trading rules (including explicit or implicit stop losses), position sizing, and the calculation of your volatility target (the average amount of cash you are willing to risk).'
2. 'Trading rules and stop losses should be based only on expected market price volatility, and should never take your account size into consideration.'
3. 'Flexibility is the most obvious benefit of a modular design.'
4. 'Getting the boring bit right is incredibly important.'
5. 'Creating a new trading system from scratch is quite a daunting prospect.'

Chapter 8 | Quotes From Pages 283-305

1. You can’t trade systematically without access to prices and other relevant data.
2. I personally think it’s important to have an understanding of what makes a market function; whether it be interest

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rates, economic news or corporate profits.

3. As you'll see in that chapter this problem also affects the number of instruments you can hold in your portfolio.
4. Even if you don't use leverage they will limit the risk your overall trading system can achieve.
5. If unusual forces are at play then avoid that instrument.
6. Cheaper is better.
7. On exchange is preferable.

Chapter 9 | Quotes From Pages 306-349

1. You need to know three things. First, how much do you like this trade? That comes from here," Sergei replied, pointing to his heart. "Second thing, how much can you afford to lose? That is down here, in your gut," and he patted his extensive stomach. "Last thing, how risky is it? You calculate that here." said Sergei, tapping his forehead.
2. It's not enough to predict that prices are rising or falling; you also need to decide whether they will go up a lot, or a little.

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3. Forecasts shouldn’t be binary – buy or sell – but should be scaled.
4. Higher realised return volatility... often combined with reversals in price.
5. Discretionary forecasts must be correctly scaled: the expected absolute value should be around 10, and they must be between the recommended limits of -20 and +20.
6. By using the framework, instruments will automatically have identical expected standard deviation of returns for a given forecast level.

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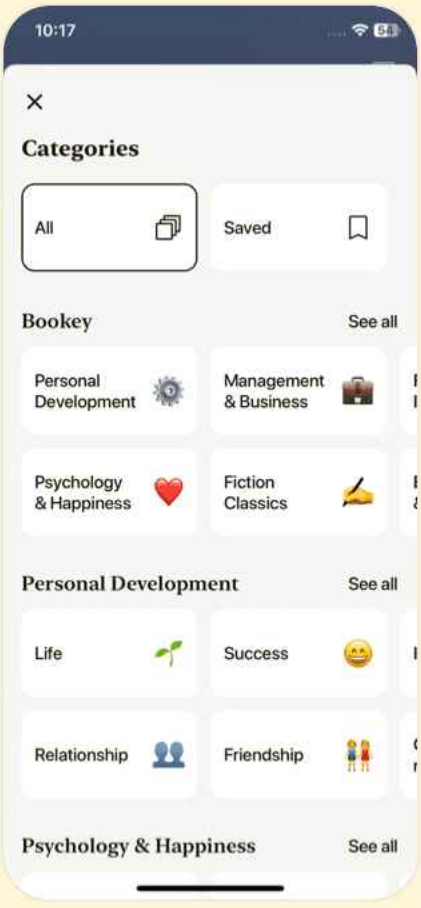
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Chapter 10 | Quotes From Pages 350-376

1. If you have multiple rules and they disagree?
2. You need to create a single combined forecast for every instrument.
3. Diversification reduces variability.
4. I strongly encourage you to limit combined forecasts to absolute values of 20 or less.
5. Your total portfolio also achieves the standard volatility target.

Chapter 11 | Quotes From Pages 377-447

1. Deciding your overall trading risk is the most important decision you will have to make when designing your trading system.
2. Suffering painful losses is the main reason why both amateurs and professionals meddle with trading systems rather than letting them run unimpeded.
3. You must understand your system, in particular its likely performance and whether it's likely to have positive or negative skew.

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4. Never put in more than you can afford to lose. Never trade with borrowed money, or money earmarked to pay off debts.
5. To maximise your final profits, the optimal bet to make is actually a quarter of the original size.
6. There is a Goldilocks level of risk – not too little and not too much.
7. If you're investing your own money then your trading capital will depend on your savings and how much you are willing to commit to such a risky endeavour.
8. Your volatility target is the long-term average of expected, predictable, risk.
9. You begin trading on day one with a 50% target, but the first big loss then sends you or your investors into a panic. In this case you should significantly reduce your percentage target.
10. For an institutional investor things are usually straightforward; you are given £100 million and you would use 100% of it.

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Chapter 12 | Quotes From Pages 448-484

1. If you own one unit of an instrument how much risk does that expose you to?
2. The block value will be 100 × 1% × share price, which is equal to the cost of one share.
3. You need to calculate an expected standard deviation of daily instrument percentage returns, which I'm going to define as the price volatility of an instrument.
4. If volatility is low then you would buy large numbers of instrument blocks, since each block has very little expected risk.
5. How many of these blocks of crude oil should this investor hold?

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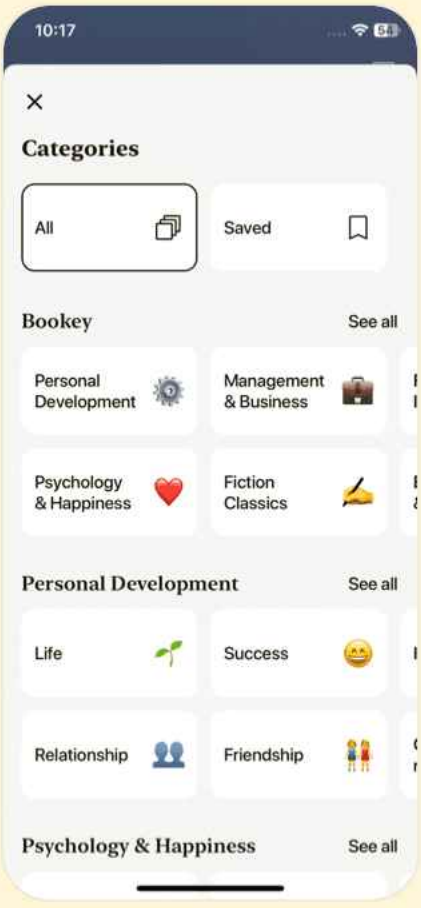
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Chapter 13 | Quotes From Pages 485-526

1. ‘Diversification really is the only free lunch in investment.’
2. ‘It’s best to simultaneously run a portfolio of as many trading subsystems and instruments as possible and allocate your trading capital between them.’
3. ‘The lower the average correlation, the worse the undershooting of risk will be.’
4. ‘Account for the effect of portfolio diversification.’
5. ‘Position inertia is a way of avoiding small frequent trades that increase costs without earning additional returns.’

Chapter 14 | Quotes From Pages 527-623

1. If you were running at a 20% volatility target you’d be expecting pre-cost returns of 30% a year, annual costs of 20% and net returns of just 10%.
2. Overtrading is a result of overconfidence, one of the cognitive biases I discussed in chapter one.
3. Instead it’s much better to design trading systems that aren’t vulnerable to such high levels of costs.

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4.If you can’t trade futures and prefer ETFs, then that will heavily curtail your trading speed.

5.You need to use a measure of costs that accounts for how risky different instruments are.

Chapter 15 | Quotes From Pages 626-657

1.With stop losses, risk targeting and position sizing taken care of you can focus on getting the buy or sell decision correct.

2.I strongly recommend that you design a system you’re comfortable with and then do not deviate from it.

3.Sticking to this rule will be difficult, but will mean that your risk is controlled and that your returns will have the favourable positive skew of trend following traders.

4.You should avoid low volatility instruments, for the numerous reasons enumerated throughout part three.

5.I do not recommend changing your forecast once a bet is open.

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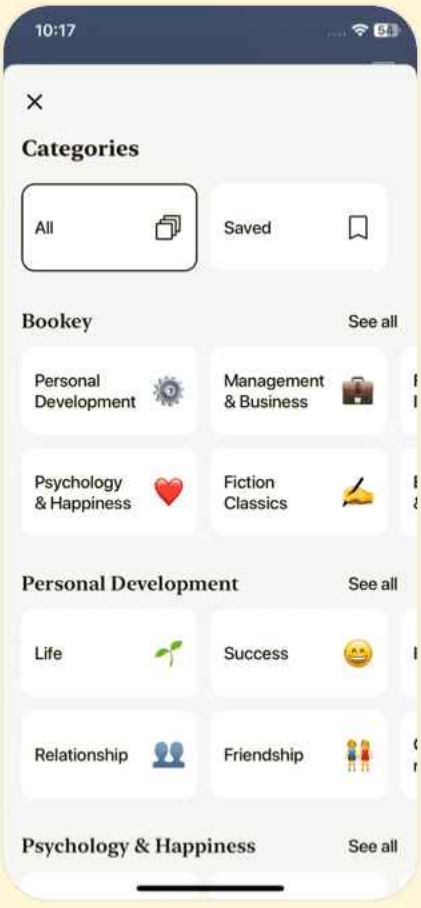
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Chapter 16 | Quotes From Pages 658-689

1. If you're an asset allocating investor you believe the best returns can be obtained by investing in a diversified portfolio of assets without trying to predict relative risk adjusted returns.
2. The systematic framework in this book will allow you to do that, using the 'no rule' rule I introduced in chapter seven, 'Forecasts'.
3. An extension to the basic example will be to adjust instrument weights according to some expectations about asset Sharpe ratios.
4. You should be concerned about bond ETFs that could have a sigma below 5% per year.
5. With 7.5% annualised volatility that equates to a modest annual performance drag of 0.032 × 7.5% = 0.24%.
6. The trading system consists of a portfolio of trading subsystems, one per instrument.
7. Finally, these adjustments should ideally be small and infrequent, since they are a source of additional trading and

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so will increase costs.

8.If price volatility falls, you'll want to buy more assets, so it's worth keeping some cash in reserve.

9.You need the grouping to allocate the instrument weights in your portfolio, which I'll do below using the handcrafting method.

Chapter 17 | Quotes From Pages 690-720

1.'In my opinion the set shown in table 42 is a good selection for this account size.'

2.'You should also avoid instruments that are very expensive to trade and as always those with low volatility.'

3.'Only the very cheapest futures instruments can use the fastest EWMAC variations.'

4.'I suggest using an exponentially weighted moving average (EWMA) of daily squared returns.'

5.'With your 20% volatility target a cost level of 0.113 SR equates to an annual performance drag of 20% × 0.113 = 2.3% on V2TX.'

6.'Again this is a job for handcrafting, so we need to think

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about how to group instruments.'

7.'With a trading diary, you will be able to track how your system trades the market over time.'

8.'You'll be checking your account value, and adjusting your risk, every day.'

9.'In the absence of constraints, equality would apply.'

10.'The final weights in table 48 are crafted based on careful analysis of correlations.'

Chapter 18 | Quotes From Pages 725-751

1.'Success is the result of good judgment, experience, and the right processes.'

2.'The best trading system is one that fits your personality.'

3.'You cannot control the markets, but you can control your response to them.'

4.'Diversification is the only free lunch in investing.'

5.'Past performance is not indicative of future results.'

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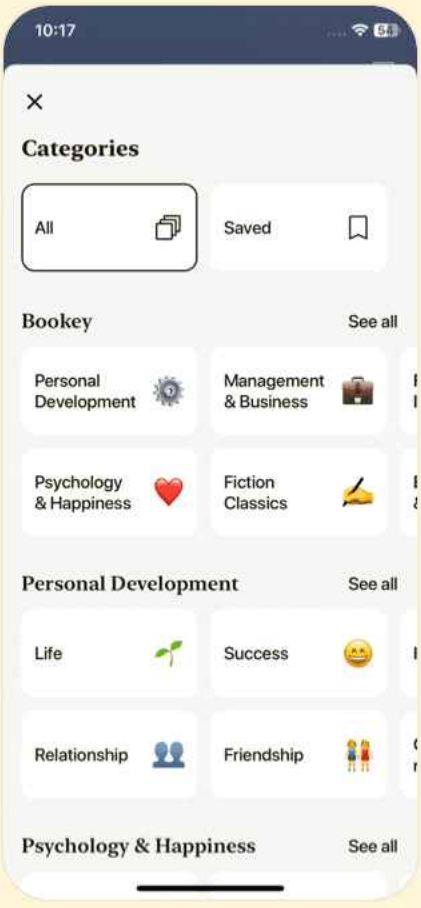
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Chapter 19 | Quotes From Pages 754-769

1. A must read.
2. Worth reading if you don’t have time for Thinking, Fast and Slow.
3. Probably the most useful market history in this list and should be compulsory reading for anyone contemplating negative skew trading.
4. A very interesting book on uncertainty in general. Compulsory for anyone who thinks back-testing is worthwhile.
5. There are many useful nuggets of information in here.

Chapter 20 | Quotes From Pages 770-791

1. 'If A is larger than B, the system will tend to hit stop losses more frequently, but when trends occur it will exploit them.'
2. 'If B is larger than A, the system will take profits frequently but suffer losses on large adverse movements.'
3. 'This is a complete trading system, not just a trading rule, since it tells you exactly what size positions to take.'

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4.'Notice that this is a complete trading system, not just a trading rule, since it tells you exactly what size positions to take.'

5.'The exponentially weighted moving average crossover (EWMAC) trading rule was briefly introduced in chapter seven.'

Chapter 21 | Quotes From Pages 792-809

1. Bootstrapping definitely wins over single period optimisation and equal weights.
2. Overall bootstrapping is the most consistent method, with less variability in performance over different kinds of data sets.
3. A good rule of thumb is to use samples of returns equal in length to 10% of the period of history available.

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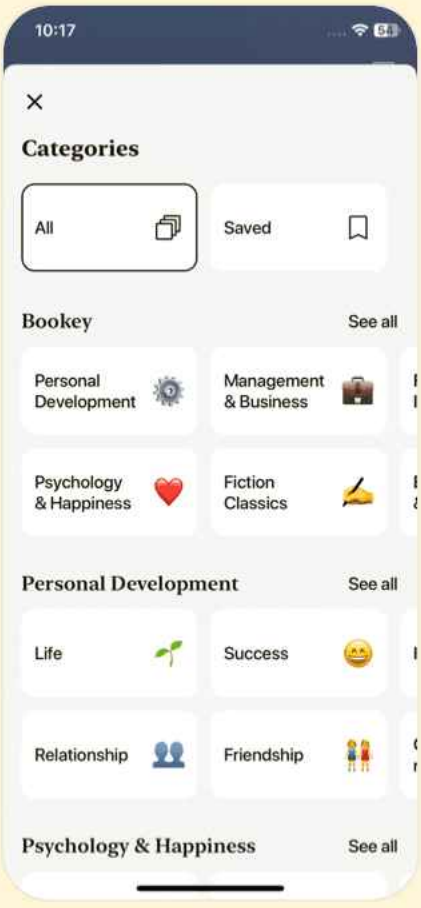
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Chapter 22 | Quotes From Pages 810-818

1.'If you’re going to create your own trading rules you need to rescale them, so that the average absolute value of the forecast is around 10.'

2.'The diversification multiplier will be 1 WT)].'

3.'Any negative correlations should be floored at zero before the calculation is done, to avoid dangerously inflating the multiplier.'

4.'In general for some variable X if you have yesterday’s EWMA Et-1 then today’s EWMA given a smoothing parameter A is: (A × Xt) + [Et-1 (1-A)]'

Chapter 23 | Quotes From Pages 819-821

1.I wouldn’t have been able to write this without spending most of a decade immersed amongst a group of people who almost uniquely in the finance industry managed to be incredibly clever and successful, whilst still being fantastically nice and interesting people to work with.

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2. One former AHL colleague I will mention by name is Thomas Smith. Whilst launching his own hedge fund, Thomas still found the time to spend dozens of unpaid hours reviewing drafts of my work, and behaved exactly like he did when we worked together; he was never afraid of telling me when I had written something that was unintelligible, meaningless, pointless or wrong (and sometimes all of those at the same time).
3. My editor Craig Pearce has managed the difficult job of reassuring me that I've written a good book, whilst also politely suggesting how it could be improved.
4. Last, but certainly not least, I'd like to thank my family. One day they came home and found that their normal office working father and husband had been replaced with a stay at home writer. Worse still he was not creating something interesting like the next Harry Potter, but was instead writing 'Some boring book about money'.

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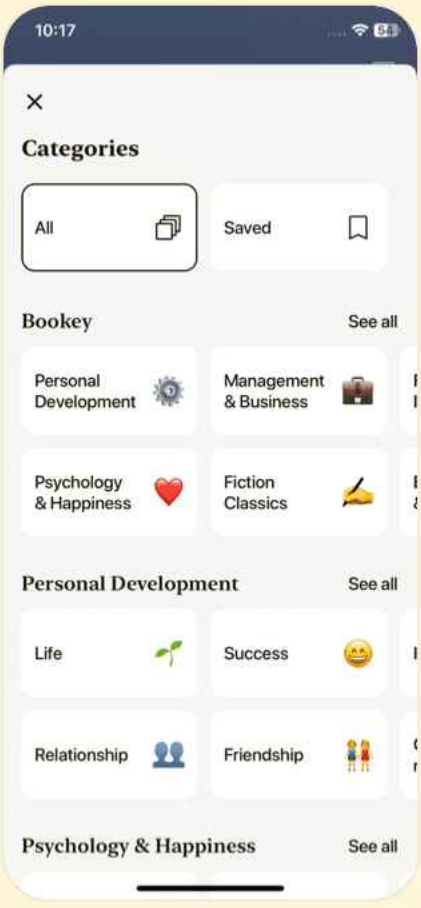
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Systematic Trading Questions

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Chapter 1 | Systematic trading and investing| Q&A

1.Question

What is a major challenge in financial decision-making according to the author?

Answer:Emotional bias leading to irrational decisions.

2.Question

How can systematic trading help in making better financial decisions?

Answer:By removing emotions from the process, allowing for consistent and disciplined strategy execution.

3.Question

Who is the intended audience for this book?

Answer:Both amateur individual investors and market professionals looking to systematize their decision-making.

4.Question

What are the four types of traders discussed in the book?

Answer:Asset allocating investors, semi-automatic traders,

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staunch systems traders, and sceptics of automated systems.

5.Question

Why does the author think it's important to have a systematic framework for all traders?

Answer:It enhances risk management and ensures a structured approach to investing.

6.Question

What analogy does the author use to describe creating a trading system?

Answer:Creating a trading system is likened to writing recipes from scratch, requiring a deeper understanding of the underlying principles.

7.Question

What does the author suggest about using technology in systematic trading?

Answer:Automation can enhance efficiency, but it is not necessary; manual processes can be equally effective.

8.Question

What will the book provide to help traders develop their own systems?

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Answer:A theoretical foundation, key methods like back-testing and optimization, and a complete framework for systematic trading.

9.Question

What advice does the author give about existing trading systems on the market?

Answer:Many are not truly systematic and can be dangerous due to subjective interpretations.

10.Question

What distinguishes 'staunch systems traders' from other trader types?

Answer:They fully embrace systematic trading rules for forecasting price changes and rely on the systematic management of positions and risk.

Chapter 2 | January 2009| Q&A

1.Question

What key lesson can traders learn from Robert Carver's experience with Barclays in January 2009?

Answer:Traders should recognize that emotions can cloud judgment, especially during volatile times.

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Carver planned to invest a larger portion of his portfolio based on careful analysis but allowed fear to reduce his investment significantly. This resulted in missing out on much larger gains. Establishing a disciplined, systematic approach to trading can help mitigate emotional decision-making.

2.Question

How does Robert Carver highlight the importance of system-based trading in his narrative?

Answer:Carver contrasts the emotional responses of human traders with the mechanical, consistent performance of computer systems during market volatility. His hedge fund's trading system capitalized on market movements while he and his team debated whether to take action. This illustrates that systematic trading can lead to more rational and profitable outcomes in turbulent market conditions.

3.Question

Why does the author argue that now is a good time to start systematic trading?

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Answer:The financial landscape is evolving, with increasing pressure on active management fees, which makes low-cost passive strategies more appealing. Additionally, technological advancements allow amateur investors access to sophisticated trading tools and resources, making systematic trading more accessible than ever.

4.Question

What pitfalls should traders avoid according to Carver's observations?

Answer:Traders should avoid overconfidence, excessive risk-taking, over-complicating trading systems, and trading too frequently. Carver emphasizes that success in systematic trading is about managing risks and making informed, principled decisions rather than pursuing unrealistic returns.

5.Question

How does Carver suggest that investors approach the creation of their trading strategies?

Answer:Carver advocates for a modular framework that allows investors to adapt strategies to their individual needs.

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This approach encourages customization based on research and personal risk tolerance, rather than following rigid, predefined systems that might not align with the investor's goals.

6.Question

What warning does Carver give regarding the use of public trading systems?

Answer:He warns that many publicly available trading systems are rigid and not adaptable, which can lead to disastrous results if they don't fit an individual trader's circumstances. Additionally, some strategies may promise high returns without adequately addressing the potential risks and trading costs involved.

7.Question

What overarching theme does Carver touch upon regarding trader psychology?

Answer:Carver touches on the significant impact of human psychology on trading success. He highlights that emotions like fear and overconfidence can undermine rational

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decision-making, which is why a systematic approach can help traders stay disciplined and focused on their trading strategy.

Chapter 3 | The Flawed Human Brain| Q&A

1.Question

Why should we trade or invest in a systematic fashion instead of relying on intuition?

Answer:Using systematic trading helps mitigate human cognitive biases that skew decision-making. While intuition may seem appealing due to our ability to process complex data, it often leads to erratic and emotional decisions, as illustrated by the author's personal experiences with trading BP shares. In contrast, systematic strategies rely on predefined rules that are less susceptible to the psychological pitfalls of trading.

2.Question

What are some cognitive biases that lead humans to make poor trading decisions?

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Answer:Humans often exhibit biases such as 'get-evenitis', where they are reluctant to realize losses, and overconfidence, where they think they know more than their systems. These biases cause traders to hold on to losing positions while quickly selling profitable ones, leading to suboptimal outcomes.

3.Question

What does prospect theory explain about investor behavior?

Answer:Prospect theory outlines how investors are risk-averse when they have gains and risk-seeking when facing losses. This leads to behaviors like taking quick profits to avoid regret while unwilling to sell losing positions, resulting in holding on to losses longer than is wise.

4.Question

How can systematic trading strategies help counteract human flaws?

Answer:By using systematic rules, traders can avoid the

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pitfalls of emotional decision-making. For example, the 'early loss taker' strategy counters the natural tendency to avoid realizing losses and confirms that consistent, objectified rules can lead to better outcomes than discretionary trading.

5.Question

How important is adherence to trading systems, and what is a commitment mechanism?

Answer:Adherence to trading systems is crucial for their success. A commitment mechanism, like automation or strict rules, helps ensure that traders follow their systems without interference from emotional decision-making or cognitive biases, much like the story of Odysseus tying himself to the mast to resist temptation.

6.Question

What role does back-testing play in developing trading systems?

Answer:Back-testing helps in validating the effectiveness of a trading strategy by applying it to historical data. This

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process ensures that the strategy has been profitable in the past and may provide confidence that it will continue to work, thereby mitigating some uncertainty in the decision-making process.

7.Question

Why is it disadvantageous to take small profits and let losses run?

Answer:This behavior often stems from cognitive biases. Statistically, allowing losses to grow while cutting profits short leads to greater losses in the long run, which is why systematic rules that promote early loss-taking have been shown to outperform the instinctual early profit-taking behavior.

8.Question

Can you automate trading strategies? How does automation assist in systematic trading?

Answer:Yes, trading strategies can be automated, which helps enforce adherence to a well-defined system. Automation minimizes the risk of emotional meddling, as it

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can execute trades based on predefined rules without human intervention, ensuring consistency in following the trading plan.

9.Question

What does the author mean by 'meddling' in trading?

Answer:Meddling refers to the interference of a trader’s emotions and instincts with the systematic trading rules they have established. This often results from overconfidence and leads to deviating from the strategy, which can undermine its effectiveness and lead to losses.

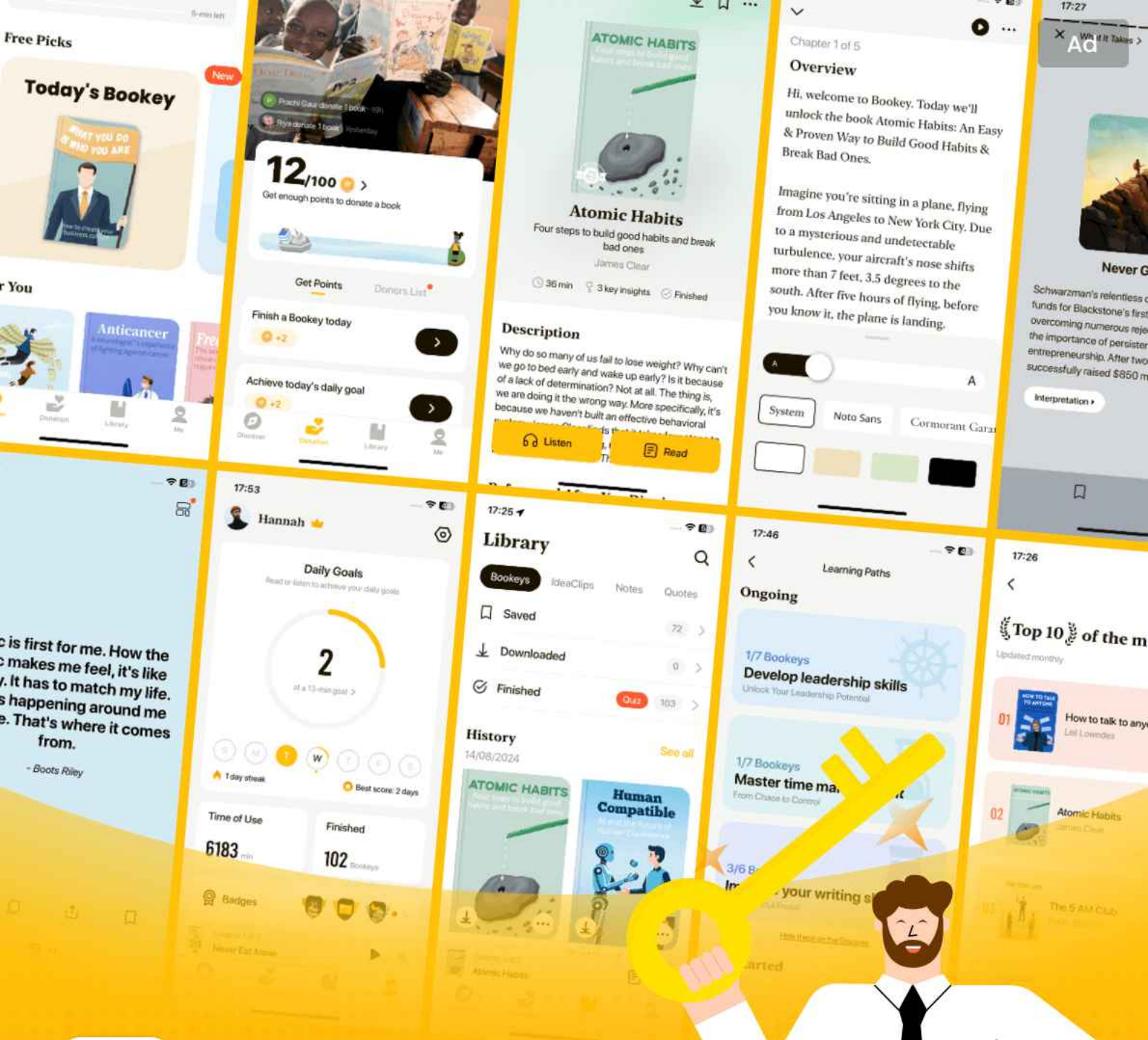
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Chapter 4 | Systematic Trading Rules| Q&A

1.Question

What is a systematic trading rule?

Answer:A systematic trading rule is a structured method for predicting price movements in financial markets, formed by collecting historical data and identifying profitable patterns or ideas.

2.Question

What are the two main methods for developing trading rules?

Answer:The two main methods are 'data first,' which involves analyzing historical data to find profitable patterns, and 'ideas first,' which is based on conceptual theories that are then tested against data.

3.Question

What are the advantages of using the 'ideas first' approach?

Answer:The 'ideas first' approach tends to produce simpler, more intuitive trading rules that are less prone to dangerous overfitting, enabling traders to understand the logic and

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potential profitability behind their strategies.

4.Question

Why is understanding the profitability of trading rules important?

Answer:Understanding why a trading rule has been profitable helps traders anticipate whether that rule will continue to yield profits in the future, and recognize when it might fail.

5.Question

What does the 'narrative fallacy' refer to in the context of trading rules?

Answer:The 'narrative fallacy' is the tendency to believe in the efficacy of trading rules that have convincing stories or explanations, even if those rules do not hold up under statistical scrutiny.

6.Question

What is overfitting and why is it problematic?

Answer:Overfitting occurs when a trading rule is excessively tailored to past data, making it less likely to perform well in the future due to lack of generalizability. It is problematic because it creates false confidence in the strategy's

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profitability.

7.Question

What is the significance of statistical measures like the Sharpe Ratio in trading?

Answer:The Sharpe Ratio measures the risk-adjusted return of a trading strategy, helping investors understand the quality of their investment returns relative to the level of risk taken.

8.Question

How can trading be categorized based on style?

Answer:Trading styles can be categorized as static or dynamic, ranging from strategies that involve simply holding assets to active trading that seeks to profit from buying and selling assets.

9.Question

What are the implications of crowded trades in the market?

Answer:Crowded trades occur when many market participants take similar positions, which can lead to sudden market reversals and significant losses if those positions rapidly unwind due to forced selling.

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10.Question

How do behavioral biases impact trading strategies?

Answer:Behavioral biases can lead traders to profit from other investors' irrational behaviors, creating opportunities to exploit mispricings in the market.

11.Question

What is the relationship between risk, leverage, and expected returns?

Answer:Leverage can amplify returns but also magnifies risks. Investors often use leverage to increase potential returns, but it can lead to significant losses, especially in volatile or negative skew trading strategies.

12.Question

Why might a trader prefer assets with positive skew?

Answer:Assets with positive skew provide frequent small losses with occasional large gains, making them generally easier to manage and less likely to result in total loss compared to negative skew assets, which feature rare large losses.

13.Question

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What is the 'Law of Active Management'?

Answer:The Law of Active Management suggests that the performance of a trading strategy improves with the frequency of trades, implying that more trades can lead to higher Sharpe Ratios.

14.Question

What should traders consider when developing a systematic trading strategy?

Answer:Traders should consider the inherent risks of their strategies, potential for overfitting, market conditions, and the overall mix of different trading styles to create a balanced approach.

15.Question

What is the importance of diversification in trading?

Answer:Diversification across various assets and strategies is crucial for reducing risk and enhancing returns, as it mitigates the impact of poor performance from any single investment.

Chapter 5 | Fitting| Q&A

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1.Question

What is the main danger associated with fitting trading rules to past data?

Answer:The main danger is overfitting, where trading rules are selected based on their ability to perform well in historical data but fail to generate profits in future trading due to being overly tailored to past performance.

2.Question

What is the difference between in-sample and out-of-sample testing in trading systems?

Answer:In-sample testing uses the same data set to fit and test the model, leading to overly optimistic back-test results. Out-of-sample testing splits the data into distinct periods for training and testing, which helps verify the model's efficacy on unseen data.

3.Question

Why is it suggested to use an expanding window for fitting models?

Answer:An expanding window allows for fitting trading

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rules with consideration of only past data, thus adhering to the principle of not using future information which would lead to cheating in modeling.

4.Question

What is meant by the term 'overconfidence' in the context of fitting trading rules?

Answer:Overconfidence refers to the tendency of traders to assume that the fitted model is superior based on back-testing results, despite the lack of sufficient historical data to validate its performance adequately.

5.Question

How does the number of variations tested affect the likelihood of selecting a profitable trading rule?

Answer:Testing a large number of variations increases the probability of inadvertently selecting a poor or incorrect rule, as random variations can appear profitable simply by chance, leading to false confidence in their performance.

6.Question

What is the recommended approach when selecting trading rules to avoid fitting problems?

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Answer:It is recommended to keep the fitting process simple, reduce the number of alternatives considered, use rolling or expanding out-of-sample fitting, and avoid casually dropping rules without thorough analysis.

7.Question

How does historical data influence the fitting process for trading rules?

Answer:More historical data allows for better decision-making in selecting and validating trading rules, lessening the chance of random variation affecting the outcomes and providing a clearer picture of a rule's true efficacy.

8.Question

What are the consequences of relying on only one year of data to select trading rules?

Answer:Relying on just one year of data can lead to incorrect conclusions about a rule's effectiveness, as it may lack variability and sufficient evidence to ensure the rule's profitability over a longer timeframe.

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9.Question

Why is pooling data across instruments recommended for fitting trading rules?

Answer:Pooling data across instruments increases the available historical data, aiding in distinguishing between profitable and unprofitable trading rules, thus improving the robustness of the fitting process.

10.Question

What insights does the T-Test provide when analyzing trading rules?

Answer:The T-Test helps determine the statistical significance of the estimated Sharpe ratio of trading rules, allowing traders to assess the likelihood that a perceived profitable rule is genuinely effective and not the result of random fluctuations.

Chapter 6 | Portfolio Allocation| Q&A

1.Question

What is the primary challenge investors face when allocating their trading capital?

Answer:The primary challenge is deciding how to

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share out trading capital between different instruments or trading rules, which includes determining how much to invest in equities, bonds, or cash and the allocation between various trading systems.

2.Question

Why is portfolio allocation important for both asset allocating investors and staunch systems traders?

Answer:Portfolio allocation is crucial for both groups as it influences the expected risk-adjusted returns of their investments and the overall effectiveness of their trading strategies, necessitating deliberate decision-making about the distribution of capital.

3.Question

What are the dangers of classic portfolio optimisation mentioned in this chapter?

Answer:Classic portfolio optimisation can lead to extreme and over-fitted portfolio weights, resulting in highly undiversified portfolios that perform poorly in real trading

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situations despite appearing optimal in back-tests.

4.Question

What lesson can be derived from historical data about portfolio weights?

Answer:Reliance on historical data can yield extreme weights that are unstable over time, suggesting that relying solely on historical optimisation may not accurately reflect future performance.

5.Question

How can bootstrapping improve the portfolio optimisation process?

Answer:Bootstrapping averages results from multiple optimisations conducted on different historical data subsets, leading to more stable and realistic weights that better account for uncertainty in return estimates.

6.Question

What approach does the author suggest for constructing portfolio weights without complex optimisation?

Answer:The author suggests a handcrafting method, where portfolio weights are derived by grouping similar assets and

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using established optimal weights for similar portfolios, allowing for a more straightforward and less extreme portfolio construction.

7.Question

In the example provided, why is it sensible to allocate more to bonds than to equities?

Answer:Bonds provide greater diversification due to their lower correlation with equities, which justifies a higher allocation to bonds as they help mitigate risk within a portfolio of mostly correlated equities.

8.Question

Why might handcrafted weights still be considered less reliable compared to methods like bootstrapping?

Answer:Handcrafted weights are derived with knowledge of past data and may overlook variations in Sharpe ratios and correlations over time, which could lead them to be over-fitted compared to more robust, out-of-sample methods like bootstrapping.

9.Question

What does the author imply about the elegance of

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mathematical optimisation?

Answer:The author warns against being distracted by the elegance of mathematical equations, emphasizing that attractive mathematics does not guarantee correct or effective investment strategies.

10.Question

Can you summarize how group correlation affects portfolio weight decisions?

Answer:Group correlation informs how assets are weighted within the portfolio; assets with higher correlations are grouped together to determine their collective impact, leading to modifications of weights to enhance diversification and reduce overall portfolio risk.

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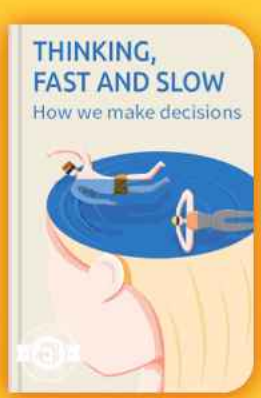
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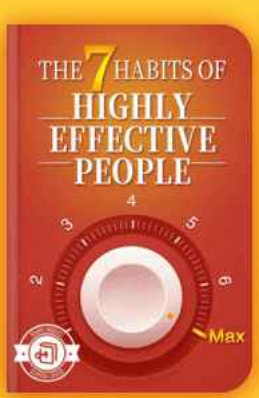
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Chapter 7 | Framework Overview| Q&A

1.Question

What is the primary purpose of a modular framework in trading systems according to Robert Carver?

Answer:The primary purpose of a modular framework in trading systems is to provide flexibility and transparency, allowing traders to create and adapt their systems according to their unique trading strategies and circumstances. This framework separates various components such as trading rules, position sizing, and risk management, which allows them to be designed and modified independently, ensuring that the overall trading system remains coherent and effective.

2.Question

How does Carver suggest traders choose stop-loss levels?

Answer:Carver suggests that stop-loss levels should be based on expected market price volatility and not solely on a trader's account size or personal pain threshold. This means

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that a stop-loss should reflect the normal fluctuations of the market being traded, rather than subjective feelings about loss.

3.Question

Why is it important to understand the components of a trading system?

Answer:Understanding the components of a trading system is vital because each component, such as trading rules and risk management, interacts with others in a defined way. This knowledge allows traders to adapt and replace parts of their system without disrupting overall functionality. It also enables them to build confidence in their strategies and customize them effectively.

4.Question

Can trading rules be treated as independent from money management, and if so, how?

Answer:Yes, trading rules can and should be treated as independent from money management. Carver emphasizes that trading rules should focus solely on market predictions

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and price movements, while money management and position sizing should consider factors like account size and risk tolerance separately. This separation allows for more precise control and adjustments without one affecting the other.

5.Question

What does Carver mean when he refers to the importance of 'getting the boring bit right' in trading systems?

Answer:By 'getting the boring bit right,' Carver refers to the critical but often overlooked aspect of establishing a solid framework around trading rules. While creating innovative trading strategies may seem more exciting, having a meticulous and functional framework ensures all components work smoothly together, ultimately leading to better system performance.

6.Question

Why should traders not depend on fixed percentages like 3% for position sizing?

Answer:Traders should not depend on fixed percentages like

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3% because this arbitrary number doesn't account for the unique risk profile of each trader or market conditions. Different traders have varying risk tolerances, capital sizes, and strategies, thus position sizing should be considered in the context of individual circumstances and market volatility rather than a one-size-fits-all percentage.

7.Question

How does Carver’s modular framework emulate modern cars?

Answer:Carver's modular framework emulates modern cars by having distinct components that can be individually substituted or modified without affecting the vehicle's overall functionality. Just as cars have separate parts that work together efficiently, trading systems can integrate various modules like strategies and risk management without requiring an overhaul of the entire system, facilitating adaptability.

8.Question

What role do examples play in helping traders implement the modular framework?

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Answer:Examples provide traders with practical references for implementing the modular framework. By showcasing detailed instances of how the framework can be customized for different trading styles—be it for semi-automatic traders, asset allocators, or systematic traders—these examples offer invaluable guidance and starting points for traders developing their systems, simplifying the transition from theory to practice.

9.Question

What is the significance of creating transparent modules within the trading system framework?

Answer:Creating transparent modules within the trading system framework is significant because it fosters understanding and confidence among traders. Transparent modules allow traders to see how each component is constructed, leading to easier adaptations and modifications as they can grasp the underlying mechanics of the system, unlike opaque systems where the inner workings are unclear.

10.Question

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How does Carver differentiate between ‘a good trading rule’ and effective position sizing?

Answer:Carver differentiates between a ‘good trading rule’ and effective position sizing by stating that trading rules should focus on price forecasting, while effective position sizing should consider factors like market volatility and the trader's risk appetite. This distinction emphasizes that one can have strong predictive rules, but without appropriate position sizing, risks may not be adequately managed.

Chapter 8 | Instruments| Q&A

1.Question

What factors should be considered before trading an instrument?

Answer:Before trading an instrument, you need to evaluate data availability, minimum sizes of contracts, understanding why prices move, standard deviation of returns, desired diversification, trading costs, liquidity, skew of returns, trading venue (exchange vs OTC), and whether to trade cash or

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derivatives.

2.Question

Why is it important to understand market dynamics?

Answer:Understanding market dynamics, such as interest rates and economic news, is crucial for designing effective trading strategies and avoiding pitfalls when market conditions become dysfunctional.

3.Question

What are the implications of trading instruments with extremely low standard deviations?

Answer:Instruments with extremely low standard deviations, like pegged currencies, should be avoided because they can sharply rear high risks when volatility returns to normal and often require more leverage, which magnifies potential losses.

4.Question

How does minimum contract size affect instrument choice?

Answer:Minimum contract sizes limit the granularity of trades and can make it impossible for small investors to

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effectively trade certain instruments, leading to misleading all-or-nothing positions.

5.Question

What type of portfolio is preferable regarding correlation?

Answer:Ideally, you want to construct a portfolio with low correlation among assets to achieve better diversification and reduce overall risk.

6.Question

Why is trading cost an important consideration in selecting instruments?

Answer:Choosing cheaper instruments to trade is advantageous as high trading costs can significantly eat into profits, especially for dynamic trading strategies.

7.Question

What is the recommended trading venue for instruments?

Answer:Generally, it is preferable to trade on exchanges rather than OTC markets, as trading on exchanges tends to provide better liquidity and reliability.

8.Question

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What role do collective funds play in systematic trading?
Answer:Collective funds, such as index trackers, can serve as effective instruments for systematic trading, especially when derivatives are unavailable or when seeking exposure with lower fees.

9.Question

How should a trader approach instruments with negative skew in their portfolio?
Answer:Instruments exhibiting strong negative skew should be handled carefully and should not dominate a portfolio, as they can pose serious risks under volatility.

10.Question

What is the next step after determining what to trade?
Answer:Once the instruments to trade are identified, the next step is to strategize on how to forecast prices effectively.

Chapter 9 | Forecasts| Q&A

1.Question

What is the fundamental lesson from Sergei on how to approach forecasting in trading?
Answer:The key lesson from Sergei is that effective

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forecasting in trading requires a balance of emotional intuition (how much you like the trade), practical risk assessment (how much you can afford to lose), and calculated analysis (the actual risk of the trade). Each element contributes to forming a comprehensive forecast.

2.Question

Why is it important for forecasts in trading to be scaled rather than binary?

Answer:Scaled forecasts provide a more nuanced understanding of market movements. They offer a spectrum of potential price changes, which helps traders make more informed position sizes and manage risk effectively. Larger absolute values indicate greater expected returns, thereby guiding traders on the magnitude of their trades.

3.Question

How does volatility standardization improve the trading rule framework?

Answer:Volatility standardization allows traders to compare

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forecasts across different assets with varying risk levels. By adjusting forecasts based on expected risk-adjusted returns, traders can implement the same trading rules universally, ensuring consistent risk management and enabling effective pooling of data.

4.Question

What is the reasoning behind capping forecast values within a set range (e.g., -20 to +20)?

Answer:Capping forecast values is a risk management technique designed to prevent any single forecast from disproportionately impacting overall portfolio performance. It mitigates the dangers of trading based on extreme predictions which may not be reliably supported by historical data, thereby controlling potential losses and maintaining a diversified approach.

5.Question

How does the 'no-rule' rule simplify trading for asset allocating investors?

Answer:The 'no-rule' rule simplifies trading by advocating a

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fixed forecast value for all assets, thereby ensuring that each asset contributes equally to the portfolio's risk. This approach allows investors to avoid complex predictions about individual asset performance, instead focusing on overall risk management and balancing investments.

6.Question

What are the benefits of combining different trading rules like trend following and carry strategies?

Answer:Combining different trading rules, such as trend following and carry strategies, diversifies the portfolio and balances risks. This mixture can protect against market volatility while allowing for gains from stable conditions, as each strategy exploits different market behaviors and can complement each other’s weaknesses.

7.Question

For semi-automatic traders, what should be considered when making discretionary forecasts?

Answer:Semi-automatic traders should quantify their forecasts between -20 and +20 to align with the framework.

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They need to reflect their conviction accurately—strong buys or sells must be clearly indicated while ensuring consistency with the expected absolute value of around 10, which facilitates effective risk management.

8.Question

What is one major takeaway about developing trading rules according to the chapter?

Answer:One major takeaway is that simplicity and objectivity are paramount when creating trading rules. By streamlining rules to their core elements and avoiding complexity, traders can maintain clarity and focus on consistent execution, which is vital for success in systematic trading.

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Chapter 10 | Combined Forecasts| Q&A

1.Question

What is the main challenge when dealing with multiple trading rules that produce conflicting forecasts?

Answer:The main challenge is determining what action to take (buy, sell, or do nothing) when trading rules provide conflicting forecasts, as seeing varied predictions can lead to uncertainty.

2.Question

How do you combine forecasts from different trading rules?

Answer:You can combine forecasts using a weighted average, where forecast weights, which total 100%, are assigned to each trading rule. This allows for a singular, unified forecast per instrument.

3.Question

Why is it important to determine the weights for combining forecasts?

Answer:Determining the correct weights is essential because it influences the accuracy of the combined forecast. Improper

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weights might skew the forecast, leading to suboptimal trading decisions.

4.Question

What happens when combined forecasts lack proper scaling and variance consistency?

Answer:If combined forecasts lack proper scaling, the overall forecast may not reflect the intended variability, reducing effectiveness and potentially leading to unforeseen risks in trading outcomes.

5.Question

Explain the concept of a 'forecast diversification multiplier'.

Answer:A forecast diversification multiplier adjusts the combined forecast to maintain consistent expected variability, accounting for the diversification effects among different trading rules and their correlations.

6.Question

What is the maximum value recommended for the diversification multiplier?

Answer:The recommended maximum diversification

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multiplier is 2.5, regardless of higher estimates to avoid extreme skewing of the combined forecast.

7.Question

Why should forecasts be capped at a maximum absolute value?

Answer:Forecasts should be capped at a maximum absolute value of 20 to mitigate the risk of extreme positions that could lead to significant losses or volatility in trading.

8.Question

How does the correlation between assets affect portfolio volatility?

Answer:The correlation determines portfolio volatility: perfectly correlated assets yield the same volatility, while lower correlations result in reduced portfolio volatility due to diversification benefits.

9.Question

What is the key takeaway regarding individual forecasts before combining them?

Answer:Each individual forecast should ideally have an expected average absolute value of around 10 and should be

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limited to the range of -20 to +20 to ensure balanced and manageable risk.

10.Question

How does one ensure that a combined forecast maintains the expected absolute value of 10?

Answer:To ensure this, one must use the forecast diversification multiplier to align the combined forecast with the expected variability targets.

Chapter 11 | Volatility targeting| Q&A

1.Question

What is the significance of understanding your risk appetite before trading?

Answer:Understanding your risk appetite is crucial for designing a trading system that aligns with your financial capacity and psychological resilience. It helps you avoid overextending your positions and leads to more informed decisions, minimizing the chance of detrimental emotional reactions to losses.

2.Question

How should traders determine their position size based on

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capital and risk tolerance?

Answer:Traders should consider their total trading capital and establish a percentage volatility target. For instance, if you have $100,000 in capital and a 30% volatility target, you should be prepared to risk $30,000 annually. If your capital decreases, adjust your targets accordingly to maintain consistent risk levels.

3.Question

What role does the Sharpe ratio play in determining risk and expected returns?

Answer:The Sharpe ratio reflects the expected return relative to the risk taken. For example, if you anticipate a Sharpe ratio of 0.5, you should set your volatility target at 50%. This helps to optimize the balance between risk and projected returns.

4.Question

Can you explain the Kelly criterion and its implications for setting volatility targets?

Answer:The Kelly criterion suggests that your volatility

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target should match your expected Sharpe ratio. If you expect a Sharpe ratio of 1.0, you could justify a volatility target of 100%. However, this can be risky, prompting the recommendation to use a more conservative 'Half-Kelly' approach.

5.Question

Why is it important to adjust your volatility target as your capital changes?

Answer:As your account balance fluctuates, your risk exposure should adjust proportionately. If you incur losses and your capital decreases, maintaining the same volatility target would result in taking on more risk than initially intended, increasing the chances of severe financial loss.

6.Question

How does skew affect the evaluation of risk in trading systems?

Answer:Strategies with negative skew may face more frequent large losses compared to positive skew strategies, which often have smaller losses but larger cumulative losses

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over time. It's critical to account for these characteristics when determining appropriate risk levels.

7.Question

What should be the approach for amateur traders regarding risk and capital?

Answer:Amateur traders should prioritize caution and never invest more than they can afford to lose. They should establish conservative volatility targets and build confidence over time before potentially increasing their risk exposure.

8.Question

How can traders practically implement a volatility targeting strategy?

Answer:Traders can formally establish a percentage of their trading capital as a volatility target, reassess it regularly based on performance, and use automated systems to monitor and adjust risk dynamically according to their account value.

9.Question

What is the recommended approach if a trader misjudges their risk tolerance?

Answer:If initial trades trigger anxiety due to

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larger-than-expected losses, traders should consider lowering their volatility target immediately to a more comfortable level, ideally only making downward adjustments to avoid emotional decision-making.

Chapter 12 | Position Sizing| Q&A

1.Question

How do you determine how much to invest in a trade based on confidence and risk?

Answer:To determine how much to invest in a trade, you need to evaluate three aspects: how much you like the trade (your confidence in the forecast), how much you can afford to lose (your cash volatility target), and the risk associated with the trade (the expected risk of holding the instrument). Combining these factors enables you to calculate the appropriate position size.

2.Question

What is the relationship between block value and risk in trading?

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Answer:The block value describes the monetary value of a 1% change in the price of a specific instrument block. Understanding block value is crucial because it directly relates to the risk of holding that instrument—the larger the block value, the more significant financial impact a price movement will have on your position.

3.Question

Why is it important to measure price volatility when trading?

Answer:Measuring price volatility helps you assess how likely a particular price change is and informs your risk management strategies. Different instruments exhibit varying volatility levels; for instance, equities may fluctuate by 1% rapidly, while bonds may take months to achieve the same percentage change. Thus, knowing the volatility helps you adjust your trade sizes accordingly.

4.Question

How does one calculate the volatility scalar, and what does it indicate?

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Answer:The volatility scalar is calculated by dividing your daily cash volatility target by the instrument value volatility. It indicates how many position units (blocks) you should hold to align with your risk tolerance without accounting for forecasts, serving as a baseline for position sizing.

5.Question

How can you account for changes in forecasts when determining position size?

Answer:Once you have the volatility scalar, you adjust your position size based on your forecast. For instance, if your forecast indicates a higher confidence in price movements (a positive forecast), you would increase your position size, while a lower confidence (a negative forecast) would suggest reducing your position or going short.

6.Question

What risks are associated with trading low volatility assets?

Answer:Trading low volatility assets can be risky because, although they may appear safe, they are often misleading.

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After periods of calm, markets can shift unexpectedly, leading to large price movements that may leave you with oversized positions, resulting in substantial losses. Therefore, it’s generally advisable to avoid holding large positions in low volatility assets.

7.Question

Why is it necessary to convert instrument currency volatility to instrument value volatility?

Answer:Converting instrument currency volatility to instrument value volatility is necessary because traders often operate in different currencies than the one the instrument is denominated in. This ensures that the volatility assessment is consistent with your trading capital's currency, providing a clearer picture of how much risk you are taking in alignment with your cash volatility target.

8.Question

Explain how the daily cash volatility target is derived and its significance.

Answer:The daily cash volatility target is derived from your

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annualized cash volatility target divided by the square root of time—in practice, you divide by 16 (based on approximately 256 business days in a year). This daily target is significant because it quantifies the maximum acceptable risk you are willing to bear on a daily basis, guiding your position sizes and overall risk management.

9.Question

What role does the concept of position block play in determining trade sizes?

Answer:The position block defines the unit size of an instrument for trading (e.g., one share for stocks, one contract for futures). Knowing this allows you to accurately calculate the financial implications (block value) of price changes, which informs how much you should buy or sell to adjust for risk and targets.

10.Question

How can one safely use recent price volatility to inform trading decisions?

Answer:Using recent price volatility to inform trading

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decisions is safe if you recognize that volatility persists. It is advisable to use a measured approach, like calculating the recent standard deviation over a predefined look-back period. However, one should avoid acting on volatility estimates during periods of low volatility, as these can lead to dangerous overly large positions.

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Chapter 13 | Portfolios| Q&A

1.Question

What common characteristic do individual traders and amateur investors typically share regarding their portfolios?

Answer:They often hold too few assets, frequently managing only 1 to 5 shares or focusing on just one or two markets due to a perceived familiarity.

2.Question

What is described as the only 'free lunch' in investment?

Answer:Diversification is termed the only free lunch, as it can enhance expected returns without proportional increases in risk.

3.Question

How can the expected Sharpe ratio be improved according to the text?

Answer:By allocating across different asset classes, which can potentially double the expected Sharpe ratio.

4.Question

Why is it important to calculate instrument weights in a

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portfolio?

Answer:Instrument weights determine how much capital is allocated to each trading subsystem based on the forecast and risk level, allowing for proper risk management and diversification.

5.Question

What approach should semi-automatic traders take when creating a portfolio of positions?

Answer:Semi-automatic traders should allocate trading capital equally among their maximum potential bets to ensure controlled risk, adjusting for the number of concurrent trades.

6.Question

How do you account for diversification within a portfolio?

Answer:Using an instrument diversification multiplier that reflects the expected effects of diversification on overall portfolio risk.

7.Question

What recommendation is made regarding the maximum

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value of the diversification multiplier?

Answer:The maximum value of the diversification multiplier should be limited to 2.5 to mitigate unpredictable risk during market crises.

8.Question

What principle does 'position inertia' serve in trading, and why is it important?

Answer:Position inertia aims to minimize the frequency of small trades that increase costs without adding substantial benefit; it recommends avoiding trades if changes are less than 10% of target positions.

9.Question

What should the overall process of creating a portfolio of trading subsystems include?

Answer:The process includes determining subsystem positions, allocating instrument weights, calculating diversification multipliers, and rounding target positions for trading.

10.Question

Why is it advised to group assets when determining

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instrument weights, and how can correlations be assessed?

Answer:Grouping assets helps in assessing risk and returns effectively; correlations can be estimated either through back-tested data or using indicative correlation tables.

11.Question

What calculation needs to be performed once subsystem positions and instrument weights are known?

Answer:Multiply the subsystem position by the relevant instrument weight and the diversification multiplier to determine the final portfolio instrument positions.

Chapter 14 | Speed and Size| Q&A

1.Question

How should traders decide how fast to trade?

Answer:Traders should determine their trading speed based on how they expect prices to behave and the costs associated with each trade. For example, a trader with certainty about a price increase and very low costs should trade quickly, whereas a

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trader with uncertain forecasts and high costs should slow down.

2.Question

What is the impact of overtrading?

Answer:Overtrading can erode profits significantly, where high trading costs consume returns. A strategy that expects a certain Sharpe ratio but has high costs can lead to net losses if the actual returns fall below the breakeven point after costs.

3.Question

How can trading costs impact the design of trading systems?

Answer:Traders need to take into account expected costs when designing systems. A system yielding a pre-cost Sharpe ratio of 1.5 that incurs costs resulting in a much lower after-cost Sharpe ratio might not be sustainable. It's crucial to design systems with manageable costs.

4.Question

How do execution costs vary with trade size?

Answer:Execution costs depend on how large a trader's

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orders are relative to market depth. Small traders might assume they pay half the bid-offer spread, while larger traders need to consider more complex models if their order sizes exceed typical market volume.

5.Question

What should be the maximum acceptable cost in terms of Sharpe ratio?

Answer:It's recommended that trading costs should not exceed a third of a conservative estimate of the pre-cost Sharpe ratio. For instance, if a trader assumes a maximum SR of 0.4, they should not accept costs greater than 0.13 SR.

6.Question

Why is it important to standardize cost measurements?

Answer:Standardizing cost measurements allows for more accurate comparisons across different instruments. It ensures that traders can understand how costs affect their expected performance relative to different instruments' volatilities and trading characteristics.

7.Question

What is 'turnover' in trading, and why does it matter?

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Answer:Turnover refers to the number of round trips (buys and sells) made in a year. It matters because it quantifies trading frequency; higher turnover generally leads to increased costs, which can disproportionately affect net returns if not managed properly.

8.Question

How can traders minimize the impact of trading costs on performance?

Answer:Traders can minimize costs by selecting instruments with favorable liquidity and low trading costs, regularly evaluating their trading frequency and ensuring it aligns with their strategy.

9.Question

What strategies can be employed when trading with limited capital?

Answer:Traders with limited capital should focus on fewer instruments to ensure their positions are large enough to avoid issues with execution costs, while also being mindful of the recommended maximum positions.

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10.Question

What role do stop-loss levels play in determining trading frequency?

Answer:Stop-loss levels dictate the average holding period, which impacts turnover. Tighter stops may lead to higher turnover, which increases costs. Traders should set stops in alignment with their trading strategy and instrument characteristics.

Chapter 15 | Semi-automatic Trader| Q&A

1.Question

What are the core tasks of a semi-automatic trader?

Answer:As a semi-automatic trader, your core tasks include making your own market forecasts while utilizing a systematic framework for capital management and position risk. This involves performing daily housekeeping on your portfolio, adjusting positions based on stop losses and volatility, and monitoring potential new trades based on market movements. Essentially, you blend

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your subjective analysis with a structured risk management system.

2.Question

How crucial is it to stick to a systematic trading framework?

Answer:Sticking to a systematic trading framework is highly crucial as it helps mitigate emotional decision-making, which can be detrimental during trading. By ensuring that you adhere to established rules regarding stop losses and position sizing, you maintain control over risk and enable a more consistent approach to trading, ultimately leading to better long-term outcomes.

3.Question

What strategies can be used to determine the size of a trade?

Answer:Trade size can be determined using a volatility scalar that adjusts according to your daily cash volatility target relative to the instrument's value volatility. You also factor in your risk percentage, which is derived from your annual

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volatility target, to ensure you are not overexposing your capital on any single trade.

4.Question

Why is it advised to avoid changing forecasts once a bet is placed?

Answer:It is advised to avoid changing forecasts after placing a bet to prevent emotional responses that lead to premature profit-taking or deepening losses. By maintaining a consistent forecast throughout the lifespan of a position, you enforce discipline in your trading strategy and align with the systematic rules designed to optimize returns.

5.Question

What role does 'X' play in determining a trader's stop loss?

Answer:The parameter 'X' plays a critical role in determining the distance of a stop loss from the peak price achieved after entering a position. A higher value of 'X' allows for a wider stop loss, which can be beneficial for longer-term trades, while a lower value leads to tighter stops, suitable for shorter

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trading horizons. This metric helps manage risk based on market volatility.

6.Question

How do you adjust your trading strategy based on market volatility?

Answer:You adjust your trading strategy based on market volatility by continually assessing the daily price changes and recalibrating your forecasts and stop losses accordingly. This involves using your estimated standard deviation of price changes to set positions and trailing stops, ensuring that your trades remain adaptive to the changing market conditions.

7.Question

What does it mean to have a diversified portfolio in trading?

Answer:Having a diversified portfolio in trading means spreading your risk across various instruments, thus minimizing the chance of significant losses from any single asset. The systematic framework allows you to determine the

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maximum and average number of concurrent bets, ensuring that no single investment dominates your overall capital allocation.

8.Question

Why should traders avoid high-cost instruments?

Answer:Traders should avoid high-cost instruments because the associated trading costs can erode profits significantly. Emphasizing low-cost trading options allows for a more favorable risk-to-reward ratio, ensuring that more of your gains remain after accounting for expenses, thus enhancing overall profitability.

9.Question

What is the benefit of maintaining a trading diary, as suggested in the chapter?

Answer:Maintaining a trading diary allows traders to document their decisions, performance, and market analysis over time. This practice not only aids in self-review and improving future strategies but also provides a structured way to reflect on what works and what doesn't, fostering

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continual learning and adaptability in trading.

10.Question

How can you ensure consistency in your trading strategy according to the chapter's guidance?

Answer:You can ensure consistency in your trading strategy by strictly following the prescribed systematic framework without deviation. This includes adhering to rules regarding position sizing, stop losses, and the maximum number of concurrent bets, thereby reinforcing a disciplined approach that aligns with your overall trading objectives.

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Chapter 16 | Asset Allocating Investor| Q&A

1.Question

What is the primary belief of the asset allocating investor as described in this chapter?

Answer:Asset allocating investors believe that the best returns come from investing in a diversified portfolio of assets without attempting to predict their relative risk-adjusted returns. They adhere to a systematic framework that employs a 'no-rule' trading rule, suggesting a constant forecast that assumes all assets will have the same Sharpe ratio.

2.Question

How does the use of exchange-traded funds (ETFs) benefit asset allocating investors?

Answer:ETFs allow asset allocating investors to access a wide range of asset classes with relatively low costs, enabling diversification while only holding positions in a limited number of instruments. This is particularly advantageous for those who may not want to engage in more

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complex investment strategies.

3.Question

What constraints might an asset allocating investor face when constructing a portfolio?

Answer:Investors may encounter specific allocation constraints imposed by pension fund trustees or institutional mandates, such as limits on the percentage of capital that can be allocated to bonds or equities, and restrictions on investments in emerging markets.

4.Question

What is the significance of the volatility target for an asset allocating investor?

Answer:Setting a volatility target helps the investor determine how much risk they are willing to take on in their portfolio. The target is adjusted based on the available leverage and the performance expectations of the chosen assets.

5.Question

How does the 'no-rule' trading rule impact position sizing in asset allocation?

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Answer:Under the 'no-rule' trading rule, the forecast remains constant, which helps investors calculate position sizes based on the estimated standard deviation of instrument returns. This helps ensure risk is managed effectively while maintaining a diversified portfolio.

6.Question

What role does cost play in choosing instruments for an asset allocating investor's portfolio?

Answer:Costs are a critical consideration when selecting instruments, especially funds like ETFs, because lower-cost instruments can enhance overall portfolio returns. Higher costs can significantly drag down performance over time.

7.Question

Why is a slower moving average suggested for estimating price volatility in this asset allocation strategy?

Answer:Using a slower moving average (like a 20-week look-back) for estimating price volatility reduces the trading costs associated with portfolio turnover, which is particularly important for long-term asset allocating investors.

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8.Question

How do external performance predictions influence the asset allocation strategy?

Answer:When there are opinions about future asset performance, they can be translated into annualized Sharpe ratios and used to adjust instrument weights in the portfolio. However, frequent or large adjustments should be avoided as they may increase trading costs.

9.Question

What is the advised frequency for rebalancing an asset allocators portfolio, and why?

Answer:A weekly rebalancing process is advised due to the low volatility target and lack of leverage; this helps maintain the desired risk profile without excessive trading costs. Some investors may choose to rebalance less frequently depending on their situation.

10.Question

In what way should an asset allocating investor's expectations for account growth be tempered?

Answer:Expectations should be modest; the maximum

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after-cost Sharpe ratio for asset allocators is conservatively expected to be around 0.4, leading to a projected annual return that combines risk-free interest with the portfolio’s volatility target.

Chapter 17 | Staunch Systems Trader| Q&A

1.Question

What defines a staunch systems trader according to Carver's principles?

Answer:A staunch systems trader firmly believes in the efficacy of systematic trading rules for predicting asset prices. They utilize a structured framework that allows for discipline in their trading process, relying on quantitative analysis rather than emotional impulses. This type of trader employs multiple, evidence-backed trading rules to improve their decision-making processes.

2.Question

How should one choose instruments for trading futures according to the chapter?

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Answer:When selecting futures to trade, one must balance diversification with practical execution limits, particularly minimum contract sizes. The ideal choice comprises a diverse array of instruments that are not overly costly or tied to very low volatility, allowing for effective risk management and better potential returns.

3.Question

Why is a focus on cost important in systematic trading?

Answer:Costs play a critical role in systematic trading since they directly influence the profitability of strategies. Traders should maintain their costs within recommended limits, as excessive costs can erode returns and alter the overall effectiveness of a trading rule. Carver suggests adhering to a maximum cost of 0.13 Sharpe ratio (SR) units to preserve trading efficiency.

4.Question

How can one combine forecasts from different trading rules effectively?

Answer:To combine forecasts effectively, one should use a

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handcrafted method based on the correlation of trading rule variations. By grouping and assigning weights to these variations according to their performance and correlation with one another, traders can construct a balanced forecast that optimally incorporates insights from multiple trading approaches.

5.Question

What is the significance of volatility targeting in trading?

Answer:Volatility targeting helps traders establish risk levels aligned with their capital and risk tolerance. By determining an achievable Sharpe ratio and setting a corresponding volatility target—for instance, 20% in this context—traders can modulate their position sizes to maintain risk within acceptable boundaries, thus enhancing the systematic approach to trading.

6.Question

Explain the daily process for a staunch systems trader as outlined in the chapter.

Answer:A staunch systems trader's daily process includes

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several structured steps: first, checking the account value to assess trading capital; second, setting volatility targets based on capital; third, updating prices and FX rates for instruments; fourth, calculating price volatilities and forecasts using trading rules; and finally, evaluating current positions against targets to execute necessary trades—all geared towards maintaining the strategic framework.

7.Question

How does the structure of the trading diary contribute to a trader's strategy?

Answer:The trading diary serves as a continuous record of trades, decisions, and outcomes, allowing traders to reflect on their strategies and improve their decision-making over time. By documenting performance, traders can identify patterns, assess the effectiveness of different rules, and make data-driven adjustments to their systematic trading framework.

8.Question

What adjustments might be necessary when allocating positions among different instruments?

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Answer:Adjustments in position size allocation are necessary to accommodate minimum contract sizes and ensure compliance with diversification rules. For example, ensuring that a specific instrument like Euro Stoxx has the minimum 20% allocation while maintaining a balanced distribution among other assets requires thoughtful adjustments to achieve desired exposure without distorting the overall strategy.

9.Question

What role does emotional discipline play in systematic trading strategies?

Answer:Emotional discipline is crucial in systematic trading strategies, allowing traders to adhere strictly to their predefined rules and frameworks. By minimizing emotional decision-making and relying on systematic approaches, traders can avoid pitfalls associated with impulsive choices and maintain consistency in executing their strategies.

Chapter 18 | Glossary| Q&A

1.Question

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What is the key difference between active and passive management in funds?

Answer:Active management involves actively buying and selling securities in an attempt to outperform the market, often resulting in higher costs due to manager fees, with the aim to generate alpha. In contrast, passive management simply aims to replicate market performance, typically through index funds, and is generally less expensive.

2.Question

How can an investor generate alpha?

Answer:Alpha can be generated through the skill of a manager or trader beyond what can be achieved by just being exposed to the market (which is termed beta). This could be through strategic asset selection, market timing, or employing sophisticated trading strategies that outperform passive benchmarks.

3.Question

What does the term 'diversification multiplier' refer to?

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Answer:The diversification multiplier reflects the reduced risk (standard deviation of returns) in a portfolio compared to its individual assets, potentially enhancing the overall return while lowering risk, as assets that are not perfectly correlated will offset each other's fluctuations.

4.Question

Why is back-testing important in trading strategy development?

Answer:Back-testing allows traders to simulate how a strategy would have performed based on historical data, providing insights into its potential effectiveness and revealing whether it's robust or may suffer from overfitting to past data.

5.Question

What is a 'cognitive bias' and how does it affect trading decisions?

Answer:Cognitive biases are psychological errors in thinking that lead to incorrect conclusions and poor decision-making, such as overconfidence or loss aversion, negatively

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impacting traders by skewing their evaluations of risk and potential returns.

6.Question

Can you explain the concept of carry trading?

Answer:Carry trading involves profiting from the difference between the yields of two currencies, where an investor borrows in a low-interest rate currency and invests in a higher-interest rate currency, earning the interest differential, while also taking on exchange rate risk.

7.Question

What is the significance of the Sharpe ratio in assessing trading strategies?

Answer:The Sharpe ratio measures the return of an investment relative to its risk, providing a way to evaluate the efficiency of a trading strategy; a higher Sharpe ratio indicates better risk-adjusted performance, which is crucial for comparing strategies.

8.Question

What does the law of active management state?

Answer:The law of active management posits that the

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information ratio of a trading strategy is proportional to the square root of the number of independent bets made each year, suggesting that more independent strategies can improve the information ratio.

9.Question

How does the concept of 'mean reversion' influence trading strategies?

Answer:Mean reversion assumes that asset prices will return to a state of equilibrium over time; traders using this strategy buy undervalued assets expecting their prices to increase towards the mean or sell overvalued assets in anticipation of their prices decreasing.

10.Question

What risks are associated with over-fitted trading rules?

Answer:Over-fitted trading rules, which are excessively tuned to historical data, might produce misleadingly optimistic back-tested results, leading traders to assume a strategy will perform well in future conditions that are unlikely to replicate past market behavior.

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11.Question

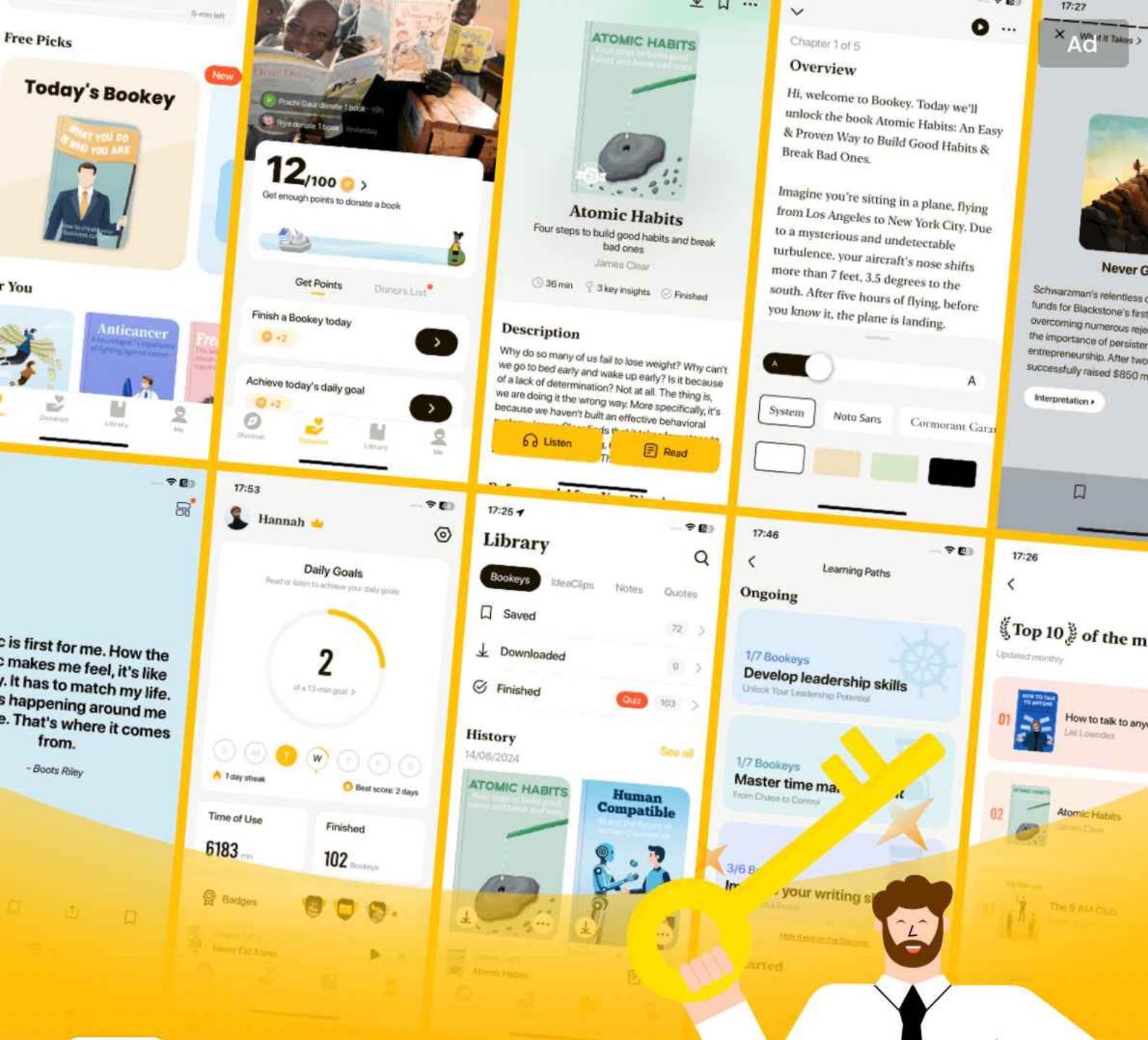
What is the purpose of portfolio optimization?

Answer:Portfolio optimization aims to achieve the best possible allocation of assets in a portfolio to maximize returns for a given level of risk or minimize risk for a desired return, often involving the calculation of weights for different assets based on their expected performance.

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Chapter 19 | Appendix A. Resources| Q&A

1.Question

What is the importance of understanding cognitive biases in trading?

Answer:Understanding cognitive biases is crucial in trading because these biases can lead to irrational decision-making and can significantly affect trading outcomes. For example, biases such as overconfidence, loss aversion, and confirmation bias can distort an investor's perception of risk and return. Reading 'Thinking, Fast and Slow' by Daniel Kahneman can provide insights into these biases, helping traders recognize and mitigate their impacts on their strategies.

2.Question

How can historical data be beneficial for amateur investors?

Answer:Historical data allows amateur investors to analyze past market trends, test trading strategies, and make informed

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decisions. Accessing sources like Quandl or Yahoo Finance can provide valuable insights without incurring high costs, making it easier for beginners to simulate strategies and understand potential market behaviors.

3.Question

Why is the choice of broker significant for trading success?

Answer:Choosing the right broker is essential because it directly impacts trading costs, the execution of trades, and access to desired trading products. A broker with low fees and a reliable trading platform, like Interactive Brokers for automated systems, can enhance trading efficiency and profitability.

4.Question

What should novice traders focus on when implementing automated trading strategies?

Answer:Novice traders should focus on the ease of integrating their trading rules into the chosen trading platform, ensuring accurate back-testing capabilities, and the

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ability to handle multiple instruments. Understanding the tools available, whether it’s through Excel, NinjaTrader, or coding directly with APIs, is important for successfully automating their strategies.

5.Question

How does leveraging affect trading strategies with negative skew?

Answer:Leverage can amplify both gains and losses, particularly in strategies with negative skew, where the potential for large losses exceeds the probability of large gains. Understanding real-life examples like 'When Genius Failed' can illustrate the dangers of excessive leverage, particularly in volatile markets.

6.Question

What conclusion can be drawn about the relationship between education and successful trading?

Answer:Continuous education and exposure to diverse trading philosophies and strategies are vital for successful trading. Reading a variety of texts from cognitive bias to

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market strategies equips traders with a broader understanding of risks, behaviors, and tactical approaches, which can significantly improve their trading outcomes.

7.Question

Why is back-testing technology from different platforms important?

Answer:Back-testing technology is crucial because it helps traders validate their strategies using historical data before committing real money. Ensuring that a platform allows for expanding out of sample tests or walk-forward analysis is vital for assessing the robustness of a trading strategy.

8.Question

What is the significance of the Kelly Criterion in trading?

Answer:The Kelly Criterion provides a mathematical formula for determining the optimal size of a series of bets to maximize growth while minimizing risk. Understanding its applications, as discussed in 'Fortune’s Formula', can help traders make more informed decisions about risk management and position sizing.

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Chapter 20 | Appendix B. Trading Rules| Q&A

1.Question

What is the purpose of the 'A and B' trading system introduced by Robert Carver?

Answer:The 'A and B' trading system is designed to establish rules for taking early profits and early losses in trading. By defining parameters A and B, the system helps traders manage their positions more systematically. The goal is to automate the trade decisions regarding when to take profits or cut losses based on deviations from entry points.

2.Question

How does the system behave when A is larger than B?

Answer:When A is larger than B, the system tends to hit stop losses more frequently. However, it capitalizes on strong trends when they do occur, making it advantageous for trading in volatile markets.

3.Question

What differences arise when B is larger than A in trading behavior?

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Answer:When B is larger than A, the system tends to take profits more frequently but may incur losses during large adverse market movements. This setup is beneficial when market prices are range-bound.

4.Question

What is the importance of specifying standard position sizes and deviations in this system?

Answer:Standard position sizes ensure consistency in risk management, while deviations dictate when to take action based on market volatility. By calculating these factors, traders can adapt their trading strategies to changing market conditions.

5.Question

How does the exponentially weighted moving average crossover (EWMAC) rule function in trend identification?

Answer:The EWMAC rule captures trends by assessing the crossover between fast and slow exponentially weighted moving averages. A positive crossover indicates a recent uptrend, while a negative crossover suggests a downtrend.

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6.Question

What factors influence the selection of look-back windows for EWMAC?

Answer:The selection of look-back windows is influenced by the desire to capture trends over varying lengths. By testing different pairs, traders can ensure they are not overfitting while still getting effective performance on real market data.

7.Question

What role does standard deviation play in trading forecasts according to the carry trading rule?

Answer:Standard deviation is crucial as it normalizes expected returns, enabling traders to assess returns relative to the volatility of the asset. This helps ensure that the forecasts are meaningful across different market conditions.

8.Question

Why is it recommended to check the forecast weekly when applying the carry trading rule?

Answer:Weekly checks help avoid the pitfalls of spurious noise that can distort trading signals. By maintaining a consistent review period, traders can ensure their strategies

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are based on more stable data.

9.Question

In the context of systematic trading, how important is it to establish rules like the carry rule or EWMAC?

Answer:Establishing rules like the carry rule or EWMAC is vital for systematic trading as they provide structure and discipline. This systematic approach helps traders make informed decisions based on data rather than emotions, thereby improving long-term performance.

10.Question

What is a potential drawback of using the stop-loss component of the A and B system?

Answer:The potential drawback of the stop-loss component is that it can lead to frequent trading, potentially increasing transaction costs. Moreover, in rapidly moving markets, stop losses may be triggered too early, resulting in missed opportunities.

11.Question

How does the concept of volatility influence trading decisions in Robert Carver's approaches?

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Answer:Volatility is a critical component in Carver's trading systems, such as the A and B system and carry trading rule. It defines risk levels, helps in determining position sizes, and guides timing for taking profits or losses. Recognizing volatility allows traders to adapt strategies effectively for varying market conditions.

Chapter 21 | Appendix C. Portfolio Optimisation| Q&A

1.Question

What is bootstrapping in the context of portfolio optimization?

Answer:Bootstrapping is a non-parametric statistical method used to estimate the distribution of a dataset by resampling with replacement. In portfolio optimization, it involves randomly selecting subsets of past returns to calculate correlation and mean returns, ultimately aiding in the allocation of instrument weights across different assets. This method helps create more robust and less variable portfolios by averaging weights derived

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from multiple optimization iterations.

2.Question

Why might using longer return periods in bootstrapping provide better optimization results?

Answer:Longer return periods may better capture underlying trends and relationships within the data, reducing the noise and extremes that can occur in shorter samples. The suggested practice is to use return samples equal to 10% of the total history available, which can lead to more stable and sensible outcomes in the optimization process.

3.Question

How can the choice of block size in block bootstrapping affect results?

Answer:The block size in block bootstrapping must be long enough to preserve the time dependence of asset returns. If the block is too short, it might fail to capture the correlations present in the data, leading to less reliable optimization outcomes. A well-chosen block size ensures that the randomness applied through starting date selection doesn't

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disrupt meaningful sequential correlations.

4.Question

What is the main distinction between single period optimization and bootstrapping?

Answer:Single period optimization takes a fixed window of historical data to calculate weights, which can ignore the variability and potential changes in market conditions over time. Bootstrapping, on the other hand, uses multiple random samples and iterations to average the resulting weights, leading to a more consistent and reliable portfolio strategy across different data scenarios.

5.Question

Why is it suggested to repeat the bootstrapping process multiple times?

Answer:Repeating the bootstrapping process enhances the reliability of the results by averaging out randomness and reducing the impact of outliers. However, the benefits of additional iterations diminish after a certain point—hence, while more iterations are generally better, diminishing

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returns can be observed after reaching around 100 to 200 repetitions.

6.Question

What correlation value is generally expected between different trading rules applied to the same instrument?

Answer:Between different styles such as momentum and carry, the expected correlation is around 0.25. For the same style using different rules, like variations of trend following rules, this correlation can increase to around 0.5, depending on how closely the rules align.

7.Question

How do correlation values vary across asset classes and regions according to the tables presented?

Answer:Correlation values vary significantly not just between different asset classes (such as bonds, equities, and commodities), but also within those classes based on regional characteristics. For example, correlations are notably high for bonds and equities in the same region or different countries, often around 0.75, indicating their returns tend to move

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together due to shared economic factors.

8.Question

What is the key takeaway regarding bootstrapping compared to other complex methods in portfolio optimization?

Answer:Bootstrapping is favored for its simplicity and effectiveness, often outperforming complex methods in terms of stability and consistency across varied datasets. It allows for less variability in performance and does not require extensive calibration or adjustments, making it a practical choice for systematic trading.

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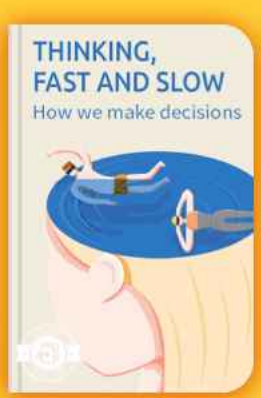
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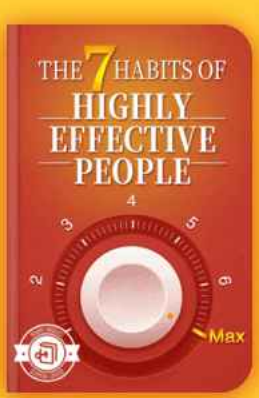
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Chapter 22 | Appendix D. Framework Details| Q&A

1.Question

Why is it important to rescale forecasts in trading strategies?

Answer:Rescaling forecasts is crucial as it standardizes the average absolute value of predictions to around 10. This helps in maintaining consistency and comparability of forecast values across various instruments and time periods, ensuring that the trading rules are well-specified and adequately adjusted for volatility.

2.Question

How can the diversification multiplier enhance a trading strategy?

Answer:The diversification multiplier quantifies the benefit of diversifying across different trading rules or instruments. By considering the correlations of forecast values or returns, it helps traders balance their portfolios, optimize risk, and enhance potential returns. A higher diversification multiplier

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indicates a more robust strategy against market volatility.

3.Question

What role does historical price volatility play in trading?

Answer:Historical price volatility is vital for understanding the risk associated with assets. By calculating price volatility from past prices, traders can gauge market dynamics, predict potential price fluctuations, and make informed decisions about entry and exit points in their trading strategies.

4.Question

Can you explain the difference between a simple moving average and an exponentially weighted moving average (EWMA)?

Answer:A simple moving average (SMA) gives equal weight to all observations in the look-back period, making it less responsive to recent price changes. In contrast, EWMA gives more weight to recent data, allowing traders to react faster to market changes. This makes EWMA particularly useful in volatile markets where quick adjustments to predictions are necessary.

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5.Question

What is the significance of flooring negative correlations in the diversification multiplier calculation?

Answer:Flooring negative correlations at zero prevents the diversification multiplier from being artificially inflated. Negative correlations can suggest that certain asset pairs might not work well together in a portfolio, leading to misleading calculations that could overestimate the benefits of diversification.

6.Question

How would you calculate and implement the smoothing parameter A for volatility?

Answer:The smoothing parameter A is calculated using the formula A = 2 / (1 + L), where L is the look-back period. For a suggested default look-back of 36 days, A equals approximately 0.054. This parameter is essential for calculating exponentially weighted moving average volatility, impacting how much weight recent price movements carry in the volatility estimation.

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7.Question

Why might one average forecast values across many instruments when developing trading rules?

Answer:Averaging forecast values across multiple instruments provides a more comprehensive and reliable baseline. It reduces the risk of outliers skewing the forecasts and helps in developing robust trading rules that can be generalized across diverse market conditions, ultimately leading to better performance.

8.Question

What process should be followed to ensure the proper volatility normalization of trading rules?

Answer:To ensure proper volatility normalization, one must conduct a back-test to gather forecast values, calculate their average absolute value, and adjust the trading rules accordingly. This process involves verifying that forecast values are consistent across different instruments and historical periods, thus validating the robustness of the trading strategy.

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Chapter 23 | Acknowledgements| Q&A

1.Question

What role did AHL play in the author's journey to writing this book?

Answer:AHL was instrumental in the author's development of systematic trading, providing both a learning environment and a support system where he spent seven years honing his craft alongside talented and kind colleagues.

2.Question

How does the author express gratitude towards his peers and mentors?

Answer:He acknowledges the invaluable contributions of several individuals, particularly highlighting the specific support from Thomas Smith, who dedicated time to providing critical feedback.

3.Question

What personal sacrifices did the author make while writing this book?

Answer:The author reflects on the changes in his family life,

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indicating that he transitioned from his regular work routine to that of a stay-at-home writer, which brought challenges, especially considering the nature of his subject matter.

4.Question

Why does the author thank his family, and what does this reveal about his values?

Answer:The author thanks his family for their unconditional support during his writing process, revealing that he values their understanding and encouragement, which allowed him to pursue a challenging yet important endeavor.

5.Question

What does the author's journey suggest about the importance of collaboration in creative work?

Answer:The author's experience illustrates that collaboration with knowledgeable and honest peers is crucial for refining ideas, improving work quality, and overcoming obstacles in the creative process.

6.Question

How does the author view the process of writing this book, based on his reflections?

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Answer:He acknowledges the challenges and pressures involved in writing, showing a realistic appreciation for the effort it takes to produce a coherent and meaningful book, while also recognizing the supportive role of others in this journey.

7.Question

What key quality does the author admire in his colleagues from AHL?

Answer:He admires their intelligence and success, but equally values their kindness and approachability, highlighting the importance of a positive workplace culture in achieving personal and professional growth.

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Systematic Trading Quiz and Test

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Chapter 1 | Systematic trading and investing| Quiz and Test

1. Systematic trading is introduced in the book as a solution to emotional challenges faced in financial decision-making.
2. The book suggests that systematic trading is only suitable for automated trading systems and not for individuals managing long-term portfolios.
3. The book is structured in five parts including a section on practice applying systematic strategies to trader categories.

Chapter 2 | January 2009| Quiz and Test

1. Systematic trading allows for emotional reactions to influence investment decisions.
2. Technological advances in trading have made it easier for amateur investors to engage in systematic trading.
3. Most actively managed assets are systematically traded due to their lower costs compared to passive management.

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Chapter 3 | The Flawed Human Brain| Quiz and Test

1. Human decision-making in trading is often influenced by cognitive biases that conflict with rational economic expectations.
2. Cognitive biases in trading lead to a preference for taking quick losses rather than allowing winning positions to run.
3. Implementing systematic trading rules can help mitigate personal biases and take advantage of irrational market behavior.

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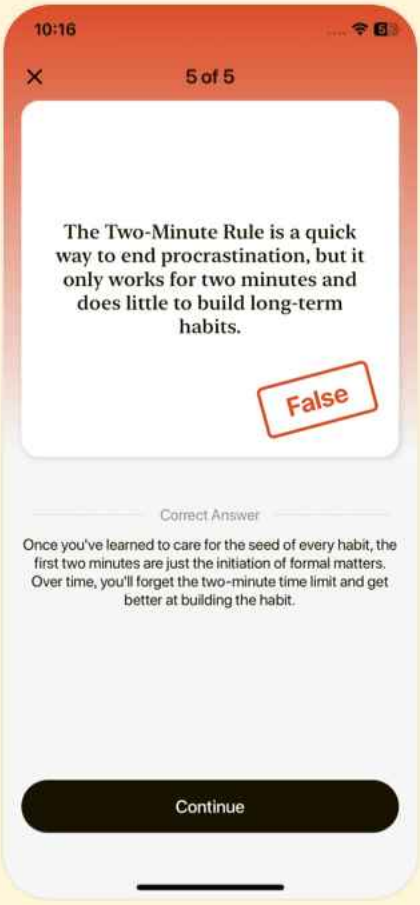
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Chapter 4 | Systematic Trading Rules| Quiz and Test

1. Trading rules are essential for predicting price movements and formulating a trading system.
2. A good trading rule should only be based on historical profitability and not through data analysis.
3. Achievable Sharpe Ratios above 1.0 are easy to sustain over the long term for any trading strategy.

Chapter 5 | Fitting| Quiz and Test

1. Over-fitting can lead to poor performance in future trading.
2. Using a large number of variations in trading rules always improves predictive power.
3. A decade or more of historical data is typically required to distinguish trading rules based on their Sharpe ratios.

Chapter 6 | Portfolio Allocation| Quiz and Test

1. Classic methods of portfolio optimization can lead to extreme and over-fitted portfolio weights.
2. Bootstrapping is less effective than traditional optimization in creating stable portfolio allocations.

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3.The handcrafted allocation method is primarily based on automated backtesting and absolute data-driven analysis.

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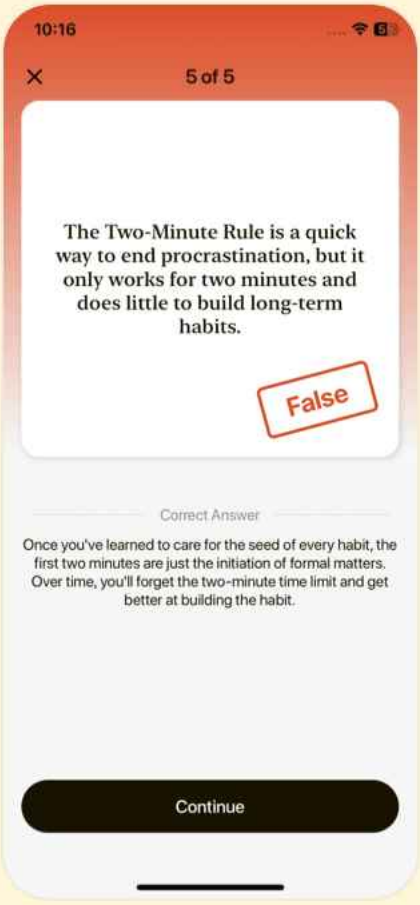
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Chapter 7 | Framework Overview| Quiz and Test

1. The chapter introduces a framework for building trading systems that includes various components.
2. The chapter provides an example of a successful trading system that emphasizes the importance of static rules for trading strategies.
3. The modular framework is designed to ensure that components interact with each other correctly through clear specifications.

Chapter 8 | Instruments| Quiz and Test

1. Accurate daily price data is essential for systematic trading.
2. Trading on exchanges is always more expensive than over-the-counter methods.
3. It is advisable to include instruments with negative skew in your portfolio to reduce risk.

Chapter 9 | Forecasts| Quiz and Test

1. Forecasts have no significant role in trading and investment strategies.

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2.Effective trading requires understanding the essential characteristics of forecasts.

3.Discretionary trading relies solely on strict systematic rules without personal judgment.

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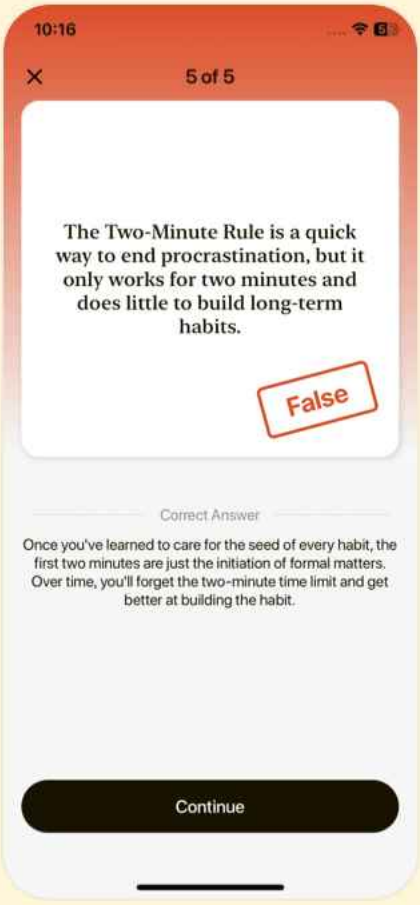
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Chapter 10 | Combined Forecasts| Quiz and Test

1. Combining forecasts from different trading rules is unnecessary for systematic traders with multiple strategies.
2. Forecast weights in a combined forecast must always sum up to 100%.
3. A combined forecast should be capped between -10 to +10 to maintain effectiveness and avoid binary trading approaches.

Chapter 11 | Volatility targeting| Quiz and Test

1. Volatility targeting is important for determining position size in trading.
2. Amateur traders often succeed by taking positions that are too large for their accounts.
3. A fixed volatility target should be adjusted frequently based on market changes to ensure profitability.

Chapter 12 | Position Sizing| Quiz and Test

1. Equities tend to exhibit lower volatility compared to bonds.

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2.The 'instrument block' refers to the unit size for trading.

3.Traders should always maintain the same position size regardless of market forecasts.

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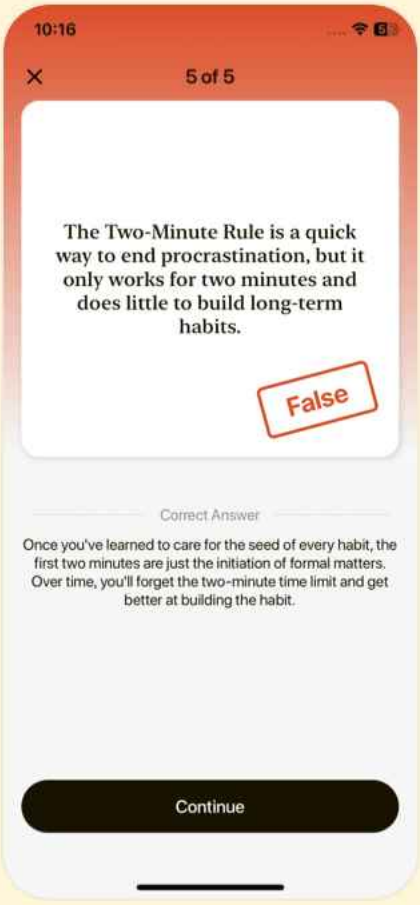
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Chapter 13 | Portfolios| Quiz and Test

1. Many individual traders and amateur investors often hold too few assets in their portfolios, commonly less than five equities.
2. A diversification multiplier does not compensate for reduced risk in diversified portfolios.
3. Semi-automatic traders manage static portfolios and rarely make adjustments based on forecasts.

Chapter 14 | Speed and Size| Quiz and Test

1. Traders should aim for the highest possible trading speed regardless of the associated costs.
2. High turnover in trading generally leads to higher costs and can negatively impact overall returns.
3. Larger capital allows for the use of any strategy, without concern for execution costs due to market impact.

Chapter 15 | Semi-automatic Trader| Quiz and Test

1. Semi-automatic traders rely solely on their own predictions with no structured risk management framework.

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2.Daily housekeeping routines are essential for managing existing positions in semi-automatic trading.

3.Position sizes in semi-automatic trading should be independent of recent return volatility.

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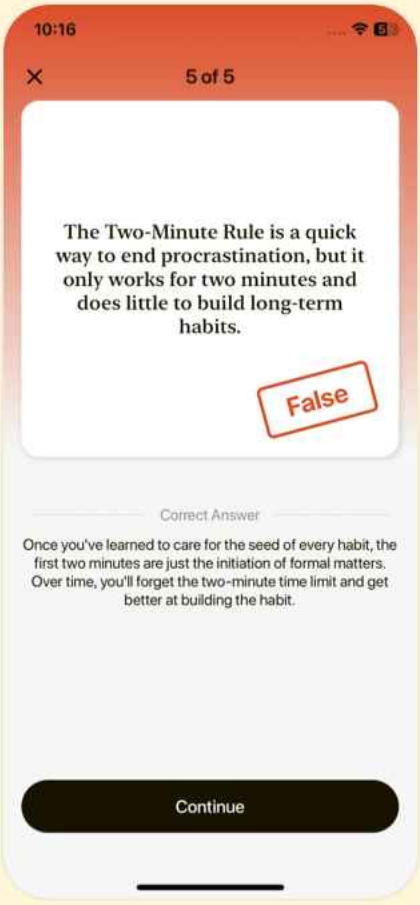
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Chapter 16 | Asset Allocating Investor| Quiz and Test

1. Asset allocating investors believe in forecasting asset prices.
2. The maximum allocation for bonds in a portfolio should not exceed 40%.
3. Investors should frequently adjust portfolio weights based on asset performance predictions to increase returns.

Chapter 17 | Staunch Systems Trader| Quiz and Test

1. A staunch systems trader typically has an initial capital of $250,000 for futures trading.
2. Historical data is irrelevant for determining the weights in forecasting for trading rules.
3. A volatility target of 20% annual is recommended as appropriate for the trading strategy discussed in the chapter.

Chapter 18 | Glossary| Quiz and Test

1. Active funds typically aim to outperform the market through passive trading.

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2.Alpha refers to the excess return generated by a manager beyond the market return (beta).

3.Data mining is the process of creating potentially profitable trading rules by excessively fitting historical data.

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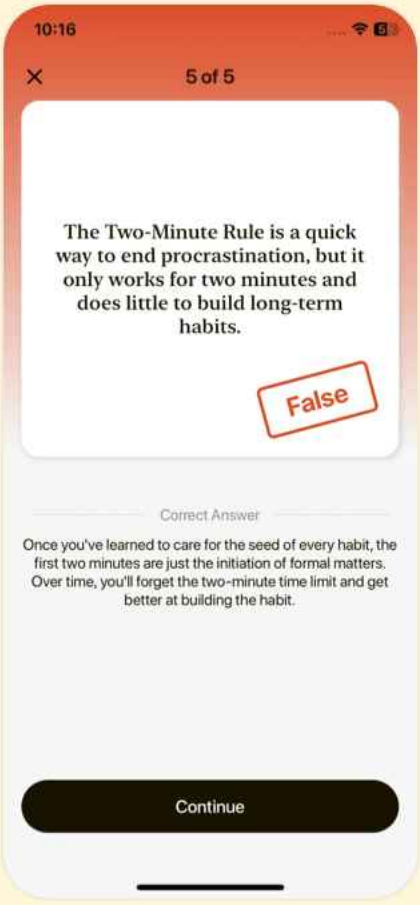
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Chapter 19 | Appendix A. Resources| Quiz and Test

1. *Thinking, Fast and Slow* by Daniel Kahneman is NOT recommended for understanding cognitive biases.
2. The book *Trading Systems and Methods* by Perry J. Kaufman is not a comprehensive resource for trading strategies.
3. *The Black Swan* by Nassim Taleb discusses known knowns in trading.

Chapter 20 | Appendix B. Trading Rules| Quiz and Test

1. In the A and B system, if parameter A is greater than parameter B, it results in more frequent stop losses.
2. The EWMAC rule is based solely on historical prices without adjustments for volatility.
3. The recommended forecast scalar for net expected return in carry trading is 30 based on standardized annualized standard deviation of returns.

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Chapter 21 | Appendix C. Portfolio Optimisation| Quiz and Test

1. Bootstrapping involves selecting random subsets of past normalized returns to optimize portfolio weights while maintaining an expected standard deviation.
2. Using shorter periods for bootstrapping results in stabilized optimizations.
3. Bootstrapping outperforms single period optimization and equal weights.

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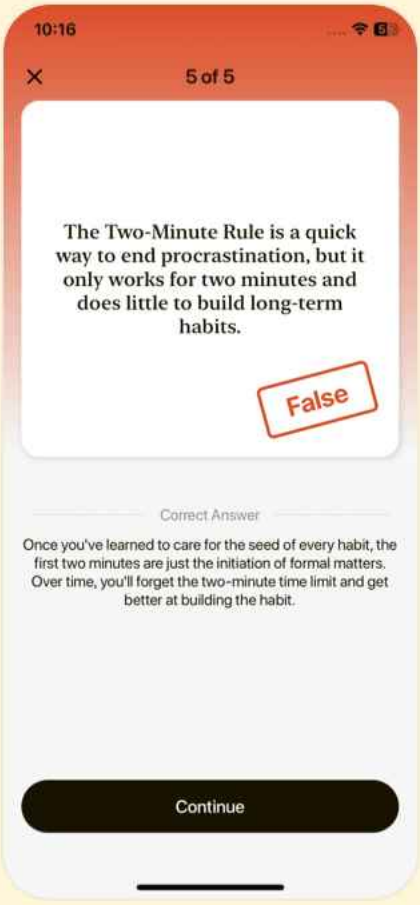
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Chapter 22 | Appendix D. Framework Details| Quiz and Test

1. To create personalized trading rules, it is essential to rescale the forecasts so that their average absolute value is approximately 5.
2. Negative correlations in the calculation of the diversification multiplier must be floored at zero to prevent inflation of the multiplier.
3. The exponential weighted moving average (EWMA) requires a smoothing parameter computed as A = 2 ÷ (1 + L) with L as the volatility look-back.

Chapter 23 | Acknowledgements| Quiz and Test

1. The author spent seven years at AHL learning about systematic trading without revealing corporate secrets.
2. The author expresses gratitude only to colleagues at AHL and does not mention any family support.
3. The author received constructive criticism from editor Craig Pearce which helped improve the writing.

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